



Japan Exchange Group, Inc.

JPX Investor Day 2024

July 2, 2024

Presentation

Takahashi: Thank you very much for taking time out of your busy schedule to join us today. As it is now the scheduled time, we will begin the JPX Investor Day 2024. This event is being held in a hybrid format with both in-person attendance and live webinar streaming.

First, let me explain today's agenda. We will start with an overview of our four business segments, followed by a Q&A session for each segment. At the end, we have scheduled a Q&A session covering the overall discussion.

Please note that the transcript and English translation of the presentations and Q&A sessions will be prepared and distributed by our group company, SCRIPTS Asia, and will also be posted on our website. We appreciate your understanding.

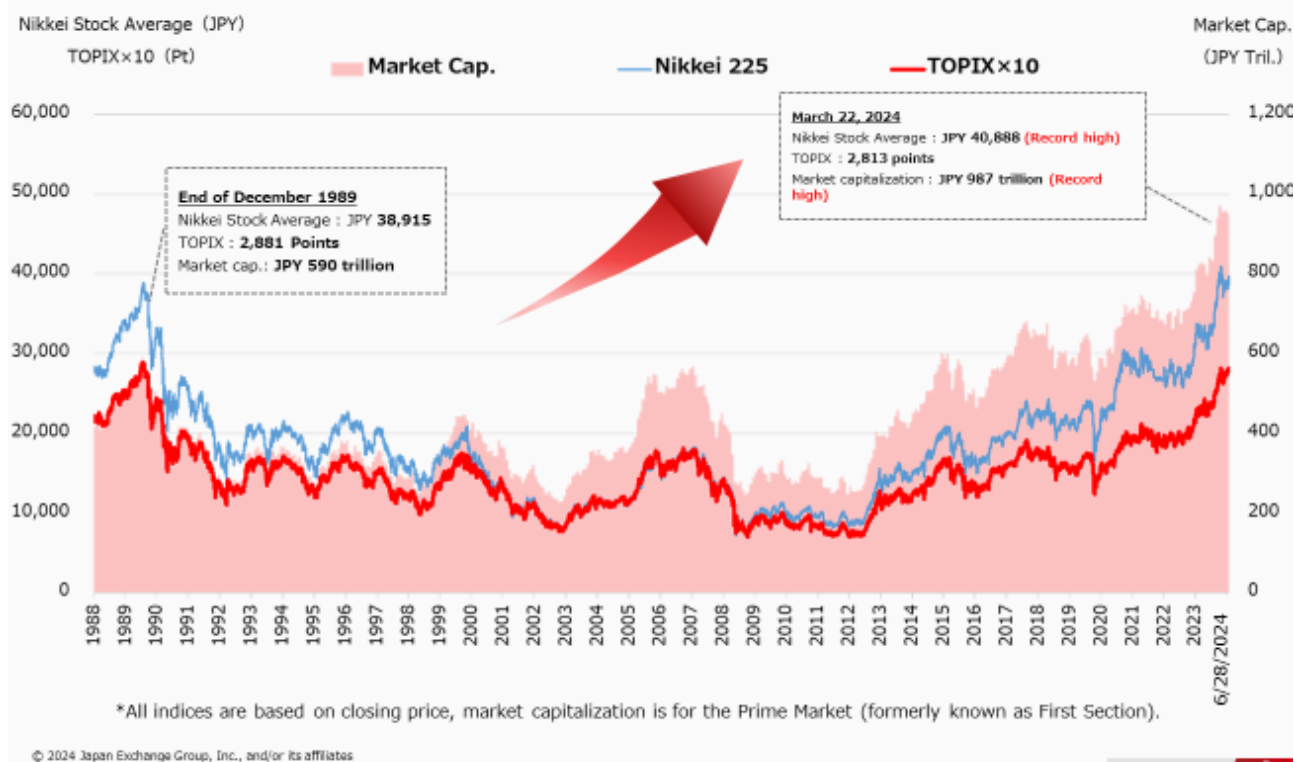
Next, let me introduce our attendees. Present today are Iwanaga Moriyuki, President & CEO of Tokyo Stock Exchange, Yokoyama Ryusuke, President & CEO of Osaka Exchange and Representative Director & Chair of Tokyo Commodity Exchange, Miyahara Koichiro, President & CEO of JPX Market Innovation & Research, Konuma Yasuyuki, President & CEO of Japan Securities Clearing Corporation, and Tabata Atsushi, Senior Executive Officer & CFO of Japan Exchange Group.

I am Takahashi from the Corporate Communications Department, and I will be your moderator. Thank you for your cooperation.

Now, let's move on to the explanation of each business segment. First, Iwanaga will explain about the cash equity market.

President Iwanaga, please go ahead.

Trends in Stock Indices and Market Capitalization



Iwanaga: First, I would like to explain the current state of the cash equity market.

As you are already aware of the situation in the Japanese market, since April last year, it has shown a strong upward trend, with the Nikkei 225 recording a 44% increase in FY2023. During this period, in February of this year, it reached a new high for the first time in 34 years, and in March, it surpassed 40,000 yen for the first time.

There are various perspectives on this new high. Since the Nikkei 225 is a simple average stock index, some may think that this record high was driven only by a few high-priced stocks or large-cap stocks, particularly in the semiconductor sector, and that the market-cap-weighted TOPIX did not reach a new high.

Furthermore, only 70 out of the 225 stocks were included in the index since 1989, suggesting that comparisons with the past might not be valid. On the other hand, when we look at the market scale, there were 1,700 listed companies in 1989, compared to 3,900 companies today. Additionally, the market capitalization was JPY590 trillion at that time, whereas it is JPY970 trillion now, indicating that the current scale has far surpassed that of the past.

Amid these various perspectives, what we believe is that, with the central bank ending its negative interest rate policy and Japan finally showing signs of overcoming deflation, Japanese companies' performance has been remarkably strong. As a result, we are being freed from the long-standing perception of a stagnant Japan, and it is reasonable to think that we have entered a new growth phase.

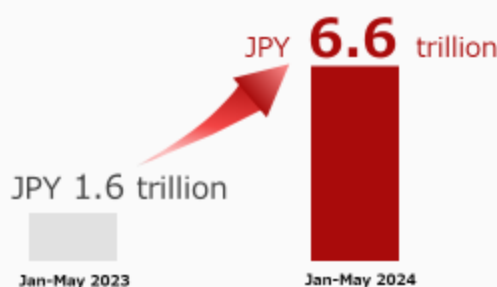
Trends Amongst Individual Investors

Annual Sales and Purchases by Value



New NISA Postlaunch Statistics

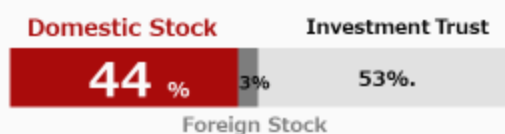
Value of Purchases Made With NISA



Annual Sales and Purchases by Number of Shares



Breakdown of NISA purchases (Jan-May 2024)



(Note) Total trading values on Tokyo Stock Exchange and Nagoya Stock Exchange. 2024 figures are through the second week of June.
(Source: Compiled by JPX based on the Tokyo Stock Exchange's "Trading by Type of Investor" statistics.)

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This market trend has been driven by net purchases from foreign investors and Japanese corporations, primarily through share buybacks, as you are well aware. However, in addition to this, individual investors have also been net buyers of Japanese stocks, albeit in smaller amounts, marking a shift from the past few years.

Generally, individual investors are contrarian investors. Looking at the upper left graph showing trading activity in terms of monetary value, we can see that individuals were net sellers last year due to the market rise. This year, the situation is close to zero.

However, if we look at the lower left graph, which shows trading activity in terms of the number of shares, a different picture emerges. This year, individual investors have turned into significant net buyers. Currently, individual investors are selling stocks at profitable levels, which results in net selling in terms of monetary value, but they are also purchasing new stocks, thereby realizing profits and reinvesting.

In this favorable environment, a new NISA system was launched in January this year. As shown in the upper right graph, based on statistics from 10 major securities companies, JPY6.6 trillion was invested from January to May this year, which is four times the amount compared to the same period last year.

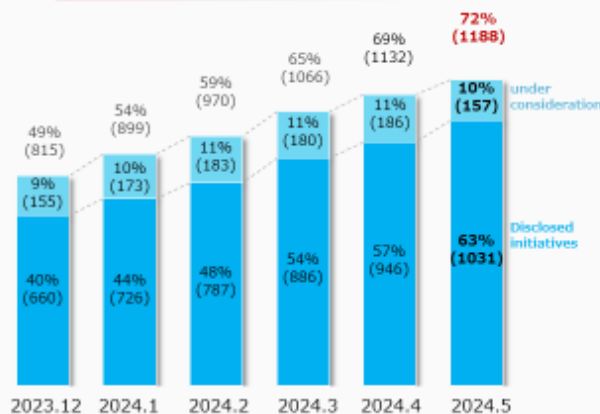
Moreover, as shown in the lower right graph, about half of the purchases in these NISA accounts were directed towards domestic individual stocks. When combined with the purchase of Japanese equity mutual funds in the accumulation category, it is evident that more than half of the investments were directed towards Japanese stocks.

This indicates that the long-advocated shift from savings to investment in the industry is becoming a reality.

Status of TSE Requests and Disclosures by Listed Companies

- In March 2023, TSE requested all listed companies on the Prime and Standard Markets to take "Action to Implement Management That is Conscious of Cost of Capital and Stock Price" in order to encourage autonomous efforts by listed companies to enhance their corporate value and promote constructive dialogue with investors.
 - As of May 31, 2024, 72% of companies on the Prime Market (63% already disclosed) and 30% in Standard Market (20% already disclosed) have announced some form of compliance with the request.
- While companies with low P/B ratios and large market capitalizations continue to **disclose more**, companies with P/B ratios of 1x or more and companies with relatively small market capitalizations are also **making progress in disclosure**.

Disclosure Status of Listed Companies (Prime Market)



Disclosure by P/B Ratio/Market Capitalization (Prime Market)

	P B R	
	Less than 1.0	1.0 or more
Market Cap. JPY 100 billion or more	93% (+16pt) Disclosed initiatives : 86% (+20pt) under consideration : 8% (-5pt) n=284 (-8)	73% (+28pt) Disclosed initiatives : 68% (+26pt) under consideration : 7% (+2pt) n=515 (+33)
JPY 25 billion – 100 billion	76% (+18pt) Disclosed initiatives : 61% (+18pt) under consideration : 15% (+0pt) n=323 (-29)	59% (+28pt) Disclosed initiatives : 48% (+25pt) under consideration : 11% (+3pt) n=341 (+11)
less than JPY 25 billion	56% (+19pt) Disclosed initiatives : 52% (+24pt) under consideration : 4% (-5pt) n=84 (-8)	51% (+29pt) Disclosed initiatives : 42% (+25pt) under consideration : 9% (+4pt) n=98 (-10)

(Note 1) As of May 31, 2024
(Note 2) Figures in parentheses represent changes from December 31, 2023.
(Source: Tokyo Stock Exchange)

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As you know, in March last year, the Tokyo Stock Exchange (TSE) requested all listed companies in the Prime and Standard markets to take measures towards achieving management that is conscious of capital costs and stock prices. This was done to encourage autonomous initiatives aimed at enhancing corporate value and fostering constructive dialogue with investors.

As of the end of May this year, 72% of companies in the Prime market and 30% in the Standard market have disclosed their responses. This situation has been positively evaluated by both domestic and international investors.

Looking more closely at the disclosure status, as shown in the table on the right, disclosures have progressed more among companies with lower price-to-book ratios or larger market capitalizations. However, there is also progress among companies with a P/B ratio exceeding 1 or relatively smaller market capitalizations.

In particular, if you look at the group at the bottom right, you can see that the response rate among this group of smaller companies with a P/B ratio exceeding 1 has increased by nearly 30 points compared to the end of last year.

Efforts to Enhance Corporate Value and Future Follow-up (1)

- To encourage more companies to consider and disclose effective measures, TSE has implemented the following initiatives:

Publication of a list of companies that have disclosed

- ◆ Publish a list of listed companies that have disclosed the information in accordance with the request to inform investors of who is taking action, thereby encouraging companies to make a proactive effort. (Started on Jan. 15, 2024 and updated monthly.)

Publication of key points from responses/examples of initiatives

- ◆ Compile and publish several key points based on responses from investors and examples of initiatives that investors deemed as fulfilling these expectations (Started on February 1, 2024.)

Compilation and distribution of companies' response statuses

- ◆ Compile corporate disclosures and feedback from investors, etc. approximately once every quarter. (Started on January 15, 2024.)

Reminder to listed companies

- ◆ Inform all listed companies on the Prime and Standard markets about points to keep in mind regarding initiatives and disclosure, and procedures to be included in the list. Such points and procedures are frequently inquired about by listed companies. (Started on March 29, 2024.)

The above documents and data are available on the website page ([Follow-up of Market Restructuring | Japan Exchange Group \(jpx.co.jp\)](https://www.jpx.co.jp/en/follow-up/))

We are actively publishing lists of companies that have disclosed their responses, key points for addressing these issues, and examples of initiatives to encourage more companies to undertake effective measures.

Additionally, we compile and disseminate information on the status of these responses.

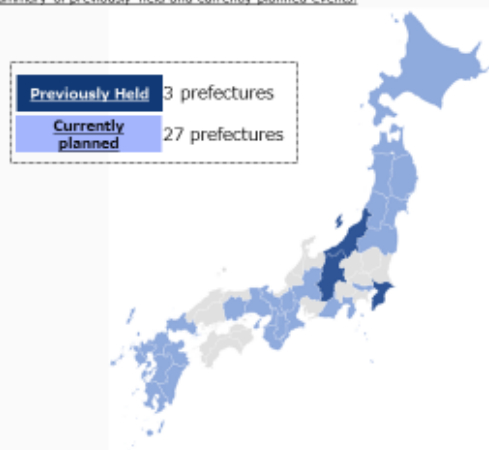
Efforts to Enhance Corporate Value and Future Follow-up (2)

- While requesting various initiatives to enhance corporate value over the medium- to long-term, a **dedicated group will be established to support such initiatives by working closely with each listed company** (January 2024).

Follow-up with Listed Company Management

Hold a program in which the president of TSE explains the background behind the requests from TSE and the purpose of other various initiatives to the **executives of listed companies across the country.**

Summary of previously held and currently planned events.



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Support for Practicing Managers

- Present and break down the thinking of institutional investors both domestic and foreign, and provide examples of how other listed companies have responded.
- Provide consultation on issues faced by each company.

Primary Measures:

Conducting Individual Visits

Direct visits to 34 companies to date (5 of which are located outside the Kanto region).

Speak at Various Events and Seminars

A total of approx. 1,000 staff members participated.

However, we understand that smaller companies may not have sufficient resources or know-how to advance these initiatives.

To support these companies, we established a Listed Company Support Group within the TSE in January this year. I have personally visited companies in regional cities to directly explain the intentions and background of TSE's initiatives to their presidents. Additionally, we are providing learning sessions and opportunities to connect with investors to the administrative staff of these companies, thereby starting to support them in resolving their challenges.

There have been cases where these efforts have led to actual initiatives being implemented, and although it is a gradual process, we intend to expand this support steadily.

Efforts to Enhance Corporate Value and Future Follow-Up (2 cont.)

- Promoting constructive dialogue between listed companies and investors
 - Develop measures to **improve IR skills** and **create opportunities for dialogue**

Improve IR Skills

• IR skill acquisition

- **Provide an opportunity to learn about key points to keep in mind for IR activities** (All of these can be viewed online by anyone at any time)

Basics of IR (explanation, points to keep in mind, understanding the other party during dialogue)

Understanding what institutional investors expect from a listed company in terms of IR

Key points regarding the expansion and acceleration of English disclosure

Preparing for overseas IR

- Organize workshops to improve the IR skills of newly listed companies (in the planning stages)

• Provide a forum for IR troubleshooting

- "IR Dialogue Meetings" are scheduled to be held where companies can consult directly with experts on the issues and concerns they face in their IR activities.

• Presentation of other companies' case studies

- Interviews were conducted with companies that have an established a good reputation among institutional investors for their IR activities, including the key points they emphasize when conducting IR activities and how they establish contact with investors (to be published in an article).

Create Contact Points With Institutional Investors

- Create opportunities for dialogue with institutional investors (mainly for Prime and Standard)

- Many listed companies do not have many opportunities to interact with institutional investors due to market capitalization, liquidity, name recognition, etc.

⇒ **Providing opportunities for dialogue with institutional investors from time to time in the form of 1-on-1s and small meetings that allow for two-way communication with institutional investors**

- Conveying the appeal of listed companies to institutional investors (for Growth)

- There are limited opportunities for Growth Market listed companies to interact with institutional investors

⇒ **Create a collection of short videos that convey the appeal of Growth Market listed companies and plan to offer them to institutional investors.**

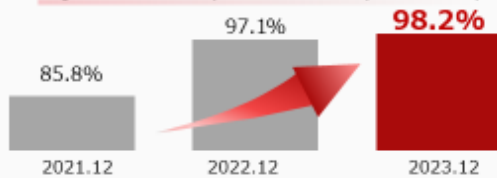
Regarding future initiatives, as the shareholder meetings for companies with March fiscal year-ends have concluded, we aim to compile the response status of listed companies around summer when the corporate governance reports are finalized. We will also publish feedback from investors.

Based on these, we intend to take measures to further encourage action from the companies.

Expansion of English Disclosure for Prime Market Listed Companies

- The percentage of Prime Market listed companies that disclose information in English is improving. While overseas investors are appreciating the progress, some are still dissatisfied with the volume of information in English disclosure and the time lag between English disclosure and Japanese disclosure.
- From April 1, 2025, simultaneous disclosure in English and Japanese of earnings reports and timely disclosure information will be mandatory in order to attract more overseas investors to Prime Market listed companies and to promote the enhancement of corporate value through dialogue.

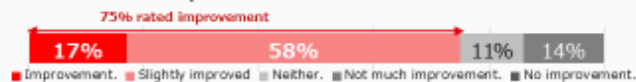
English Disclosure Implementation Rate (Prime Market)



(Source: Compiled by JPK based on the results of "Availability of English Disclosure: Information to Listed Companies" Survey.
(Note) The English disclosure rate is calculated as the percentage of respondents who answered that English disclosure is made for any of the following documents: earnings reports, other timely disclosure materials (excluding earnings information), notices of general shareholders meetings, corporate governance reports, annual securities reports, IR briefing materials, and other English disclosure materials.

Overseas Investor Evaluation

Evaluation of Improvement

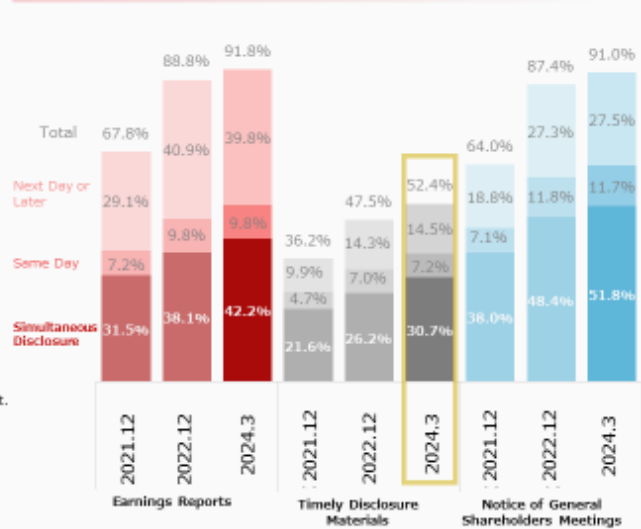


Satisfaction with Current English Disclosure



(Source: Compiled by JPK based on the results of a survey of overseas investors regarding English disclosure.
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Percentage of companies that have made English disclosures (by disclosure timing)



(Source: Compiled by JPK based on Tokyo Stock Exchange data.
(Note) The figures for December 2021 were calculated for First Section listed companies that chose to move to the Prime Market.

In addition to initiatives aimed at enhancing corporate value, we have long been advocating for English-language disclosures. As a result, the implementation rate among Prime-listed companies has improved. As of the end of December last year, 98.2% of companies were providing some form of information in English.

This progress has been positively evaluated by foreign investors, with 75% acknowledging the improvement. However, 72% believe there is still room for improvement.

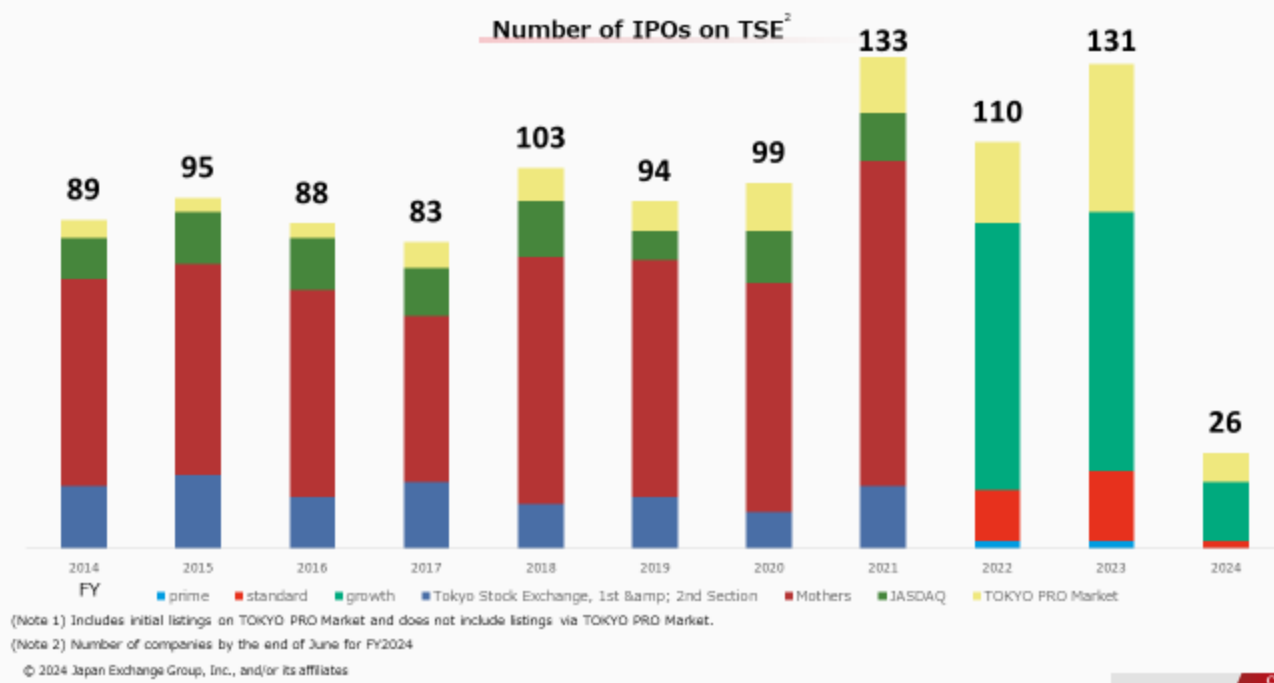
This is because, while financial information and shareholder meeting information are being disclosed, only about 30% of timely disclosure information that directly impacts stock price formation, such as earnings forecast revisions and share buybacks, are disclosed simultaneously in Japanese and English.

We have received feedback from overseas investors that this is unfair. From the perspective of investors in Europe and the US, South Korea and Taiwan—which are also East Asian markets—have already mandated English disclosures ahead of Japan.

Therefore, Japan cannot afford to lag further behind. Consequently, we plan to mandate simultaneous disclosure in Japanese and English for financial information and timely disclosure information for Prime-listed companies from April 1 next year, with a few exceptions.

Number of IPOs on TSE

- The number of initial listings on TSE in FY2023¹ remains high at 131 companies.
- Launched the "TSE Asia Startup Hub" and programs for management in each region of Japan to establish an ecosystem conducive to the initial listing of domestic and overseas companies.



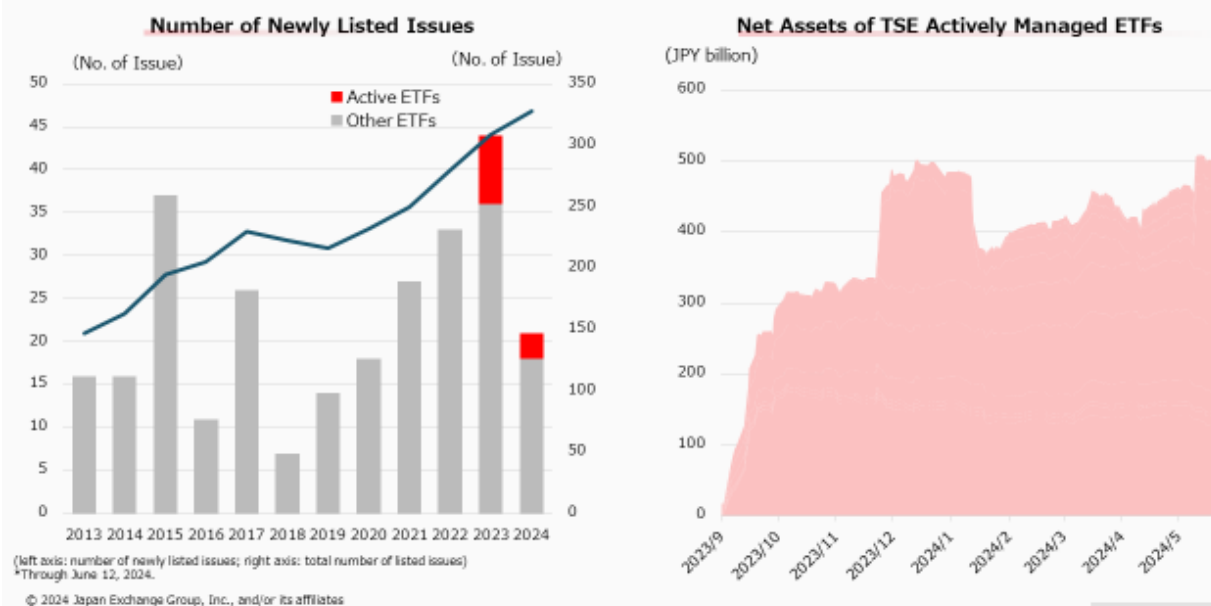
Regarding the status of new listings, 131 companies successfully listed in FY2023. As of the end of June in FY2024, 26 companies, including those on the TOKYO PRO Market, have successfully listed.

To continuously cultivate a pipeline of potential IPO candidates, since FY2022 we have launched programs aimed at the management teams of companies aspiring for IPOs, in collaboration with local governments and IPO supporters in various regions.

Additionally, to support prominent Asian companies in their IPOs in Japan, we have established the TSE Asia Startup Hub. This hub aims to enhance their recognition in Japan, provide business support with Japanese companies, and offer assistance beyond just IPO support.

Listing System for Actively Managed ETFs (Exchange Traded Funds)

- Established a listing system for actively managed ETFs, which do not track underlying indicators, in June 2023 in order to provide a variety of products to investors.
- Since the listing date of the first group of issues on September 7, 2023, 11 are currently listed. TSE is working to raise awareness of actively managed ETFs through various events, etc., and currently have approximately JPY 50 billion in AUM.



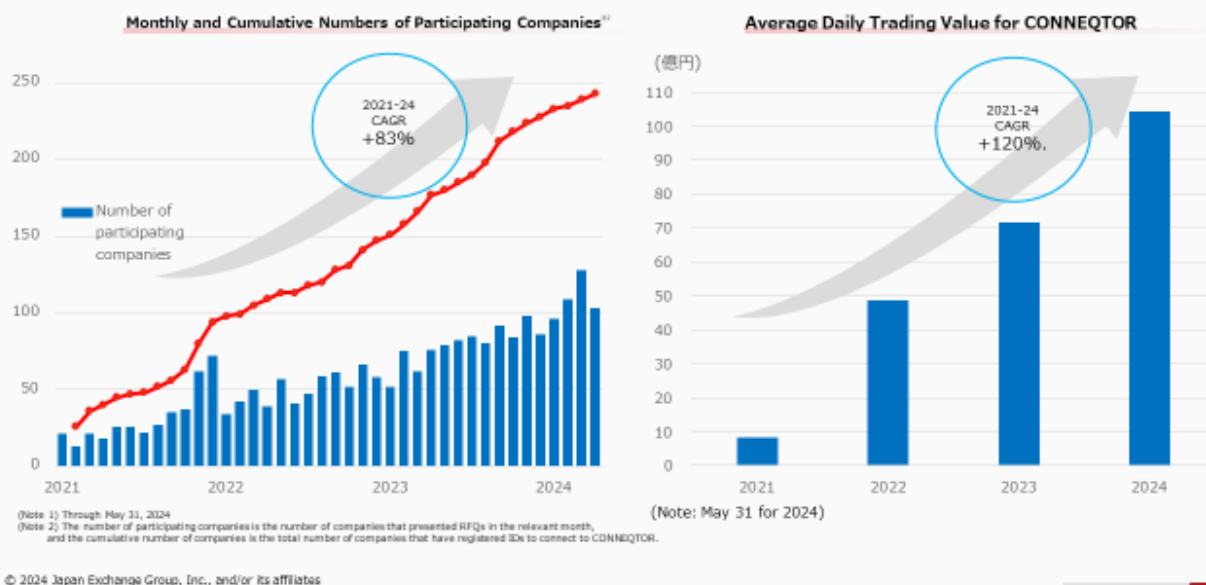
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To expand investment options, we have been actively working to enhance the lineup of ETFs. In June last year, we established a listing framework for active ETFs, which do not have existing benchmarks. The first group of these ETFs was listed in September last year, and we now have 11 listed ETFs.

Currently, the AUM for these ETFs have expanded to approximately JPY50 billion. We are encouraging both domestic and international asset management companies to list more ETFs, so we expect the number of listed ETFs and the range of asset classes to continue growing in the future.

ETF (exchange traded fund) Liquidity Supply Initiatives

- Introduced a market making system in 2018 and CONNEQTOR, a platform for institutional investors to request quotes directly from market makers, in 2021.
- The number of CONNEQTOR users continues to expand, mainly among regional financial institutions such as regional banks and credit unions. Currently, 243 institutional investors are using the service as of the end of May 2024, and has seen average daily trading values exceeding JPY 10 billion in 2024.



Improving liquidity is one of the most critical factors for the ETF market. In 2018, we introduced a market-making system to enhance continuous quote displays in the auction market.

Additionally, in 2021, we launched CONNEQTOR, a platform that allows institutional investors to directly place order requests with market makers.

This program handles large orders that are challenging to execute in the auction market due to their significant market impact. It enables institutional investors to access market maker quotes directly and quickly, facilitating faster and better-priced ETF transactions.

CONNEQTOR has also been increasingly utilized by a broad range of investors. Since its launch, usage has expanded mainly among regional banks, credit unions, and local financial institutions. As of the end of May this year, 243 investor companies have been using the platform.

The average daily trading value has exceeded JPY10 billion. We will continue to work on improving functionalities and expanding the user base to make ETFs a more convenient product.

Cash Equities Trading System Upgrades and Improvements

- TSE aims to improve resilience and convenience for market participants, in conjunction with the trading system upgrade on November 5, 2024, TSE plans to revise the trading system by extending the trading day by 30 minutes and introducing a Closing Auction.
- Preparations are going smoothly, and TSE is continuing efforts to distribute information to market users and test the system.

Extension of Trading Hours	• Extension of auction hours by 30 minutes, etc., in order to expand trading opportunities for investors and improve the convenience of the market to improve resilience and strengthen international competitiveness.											
		8	9	10	11	12	13	14	15	16	17	18
	Auction Trading Hours			9:00-11:30			12:30-15:30					
Trading System Revision, Etc.	Off-Auction Trading Hours					8:20-18:00						
Improved Resilience	• Shortened time required for restarting the system (3 hours → 1.5 hours)											

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Lastly, we are scheduled to upgrade our stock trading system on Tuesday, November 5, the day after a three-day holiday weekend. Along with this upgrade, we are planning several revisions to our trading system.

As we have previously explained, one of these revisions is the extension of trading hours by 30 minutes. This decision was based on discussions in the working group established after the 2020 system outage, which aimed to ensure that trading opportunities are maximized even in the event of market disruptions.

Additionally, considering that our trading hours are relatively shorter compared to markets in Europe, the US, and other Asian countries, we decided to extend both in-session and off-session trading by 30 minutes.

The second point is the introduction of a closing auction. With the growing importance of end-of-day trading due to the increase in passive investment, we will introduce a closing auction at the end of the trading session in the auction market to further enhance the transparency of closing price formation.

Furthermore, we plan to introduce the Market by Order (MBO) method for market information distribution. By implementing these changes, we aim to provide detailed order information and improve trading convenience.

Notably, after this system upgrade, if a system restart is necessary, the time required for the restart will be significantly reduced, thereby reinforcing measures to secure trading opportunities.

Preparations for the new system operation are progressing smoothly. We will continue to communicate with market participants and conduct system tests as we approach the launch date.

That concludes my explanation. Thank you very much.

Question & Answer

Takahashi: We will now begin the Q&A session. Please feel free to ask your questions.

Watanabe: This is Watanabe from Daiwa Securities. Thank you for the explanation. I have two questions.

The first question is regarding the trading volume of cash equities. The trading volume from January to March reached historically high levels. When forecasting JPX's performance, I believe this trading volume of cash equities is the most significant variable. What is necessary to further increase the current level, and what initiatives do you think could achieve this? Please share your views.

Iwanaga: As an exchange, our fundamental mission involves three elements: the trading instruments, which are the listed securities; the trading opportunities, referring to the days and hours of trading; and the trading participants, meaning the number of investors. Increasing these three elements leads to the daily increase in trading value.

We are working to increase the number of listed instruments, such as ETFs and IPO stocks. Additionally, to capture growth in Asia, we have established the TSE Asia Startup Hub to promote IPOs of Asian companies in Japan, thereby increasing the first element, the trading instruments.

Regarding increasing trading opportunities, we are planning the 30-minute extension starting this November. Having the market open longer will provide more trading opportunities. Generally, this is referred to as opportunistic trading, and we believe that extending trading hours by 30 minutes will contribute to this increase. Although it was not our primary objective, we anticipate this will lead to approximately a 4% increase in trading value.

Lastly, regarding increasing the number of investors, who are the trading participants, we continuously seek feedback on various issues to ensure that different types of investors can participate without hesitation. We actively solicit opinions and have been adjusting our systems and regulations to meet their needs. Continuing this approach is crucial.

Increasing the trading value is a result of enhancing these three elements. As you know, trading value is the product of stock prices and trading volume. Firstly, regarding stock prices, they rise as the corporate value of listed companies increases. Therefore, we are continuously promoting initiatives to enhance the corporate value of listed companies, including the efforts I mentioned earlier.

Secondly, regarding trading volume, we are planning to add new convenient features with the upcoming system upgrade. While the processing speed will be roughly the same as before, we believe the usability will significantly improve. This should lead to an increase in the number of shares traded, thereby contributing to the increase in trading value.

Watanabe: My second question is about active ETFs.

At this forum a year ago, you shared the view that there is potential for growth to a scale of JPY700 billion. Has your perspective on this changed after a year? Do you think it is possible to surpass this estimate, or is it a bit challenging? I would appreciate your nuanced view on this.

Iwanaga: Our view remains unchanged, and we still believe that active ETFs are a very promising product.

Currently, 11 active ETFs are listed, and the AUM is approaching JPY50 billion. The overall AUM of ETFs has increased to a level that meets the targets of our medium-term plan, even excluding the Bank of Japan's influence. Within this context, we expect that the promising active ETFs will deliver results that meet our initial expectations. Our perspective remains the same as before.

Watanabe: Thank you very much.

Takahashi: Thank you. Are there any other questions?

Niwa: This is Niwa from Citigroup Global Markets. I have two questions.

The first question is about the target level for the total market capitalization of listed companies. If I recall correctly, last year you mentioned that surpassing the post-bubble era levels seemed feasible. That has already been achieved.

So, what is the next target, and what can the TSE do to achieve this? Could you share your perspective on what the next goal should be and how the TSE plans to raise the bar further?

Iwanaga : Thank you.

Indeed, in response to a previous question, I mentioned aiming for JPY1,000 trillion in market capitalization. However, I don't recall implying that we would achieve this through our efforts within the year.

Over a long period, as a slogan, if the overall value increases and the market capitalization surpasses the previous highest level to reach JPY1,000 trillion, it would result in the Nikkei Average exceeding 39,000 yen and approaching 40,000 yen. Therefore, by supporting and aiding initiatives aimed at enhancing the corporate value of individual companies, I said we aim to approach the slogan of JPY1,000 trillion as a result.

In this context, it's not about setting a new target just because we've already surpassed JPY1,000 trillion.

Niwa: My second question is about high-frequency trading (HFT). Could you share your thoughts on the current challenges and future outlook?

Based on data published by the Financial Services Agency, it seems that HFT levels are somewhat lower compared to the global average. What is your current perception, and in your discussions with various trading participants, are there any challenges or potential upsides in this area that you could comment on?

Iwanaga: As we are preparing for the system upgrade and related regulatory changes in November, we have intentionally created opportunities to directly hear the requests of major trading participants and investors. We frequently hear, even if partially flattering, that the TSE listens to the participants' voices and responds appropriately, not only in terms of system enhancements but also in terms of regulatory adjustments.

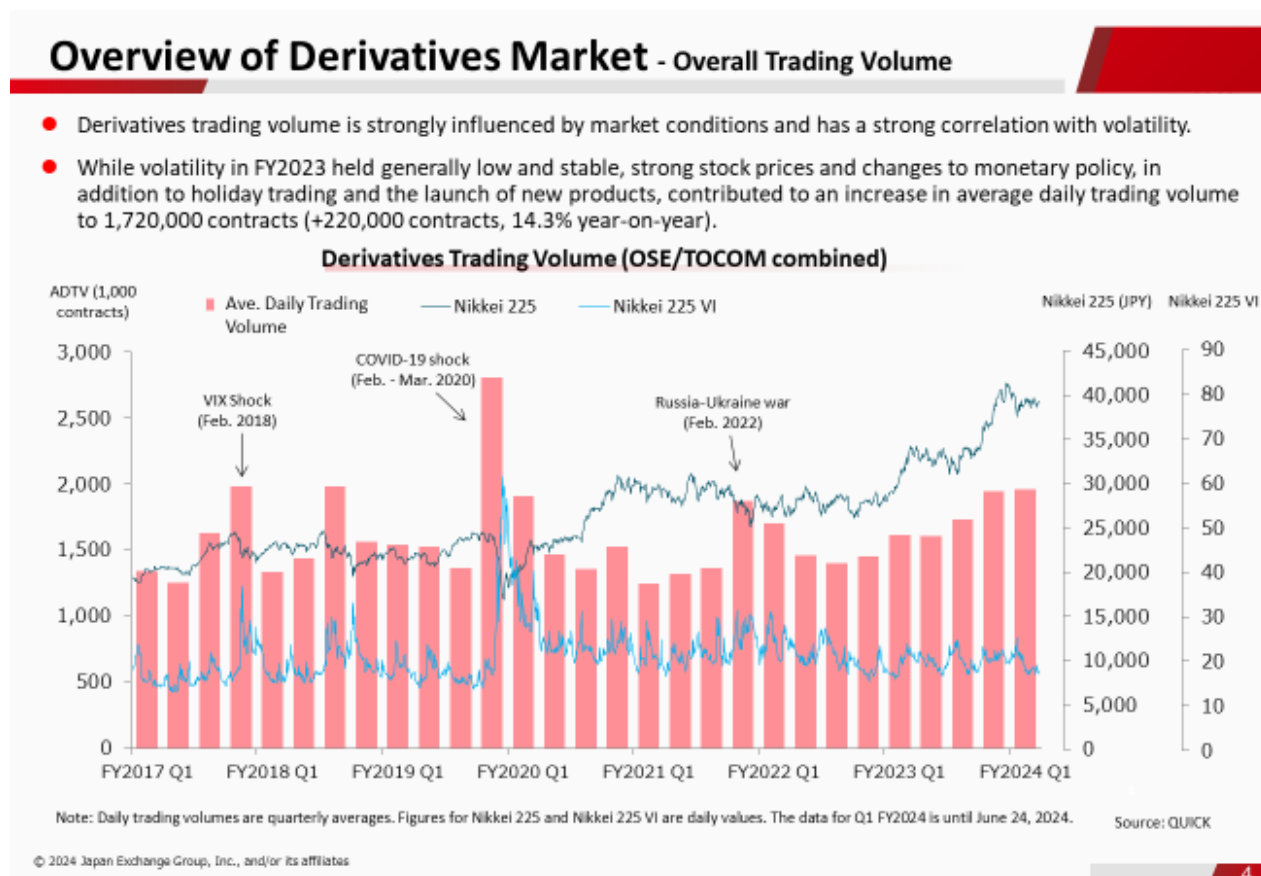
At present, we do not perceive any significant dissatisfaction from the investor side. There is no immediate recognition that the ratio has changed recently, nor do we believe that any decline is due to usability issues or a lack of attractiveness.

Takahashi: That concludes the Q&A session regarding the cash equity market. Thank you very much.

Presentation

Takahashi: Next, Yokoyama will provide an explanation about the derivatives market.

President Yokoyama, please go ahead.



Yokoyama: This is Yokoyama from the Osaka Exchange. I will provide an explanation regarding the derivatives market.

First, please look at this graph for an overview, including the overall trading volume. It is well known that the trading volume of derivatives is highly correlated with volatility. Currently, volatility has not been particularly high.

However, due to our initiatives such as holiday trading, which I will explain later; the introduction of new products; the favorable performance of stock prices—as mentioned in the cash equity market explanation; and changes in the Bank of Japan’s monetary policy, the average daily trading volume has reached 1.72 million units, a 14% increase YoY.

While there have been times in the past when trading volumes were higher, I believe the current situation indicates very steady growth.

Additionally, as announced yesterday, the total trading value from January to June this year reached a record high of JPY2,180 trillion, with a significant increase in JGB trading.

Recent Initiatives

- Listing of new products and introduction of new systems to meet the diverse needs of market participants

Main Initiatives in FY2022 and Beyond

Apr. 2022	Permanent listing of Electricity Futures (TOCOM)
	Trial listing of LNG Futures (TOCOM)
Sept. 2022	Launch of derivatives holiday trading (OSE/TOCOM)
Jan. 2023	Signing of MoU with Japan Electric Power Exchange (JPX)
May 2023	Listing of Nikkei 225micro Futures and Nikkei mini Options (OSE)
	Listing of Interest Rate (3Month TONA) Futures (OSE)
Mar. 2024	Listing of weekly Electricity Futures (TOCOM)
	Listing of futures on JPX Prime 150 Index (OSE)
May 2025	Addition of Wednesday expiration dates to Nikkei 225 mini Options (OSE)

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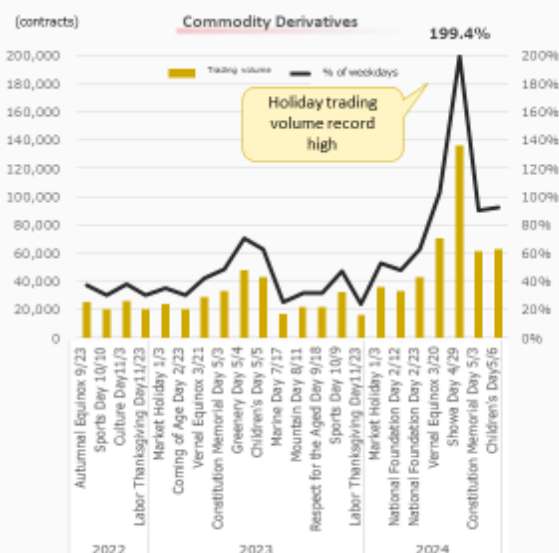
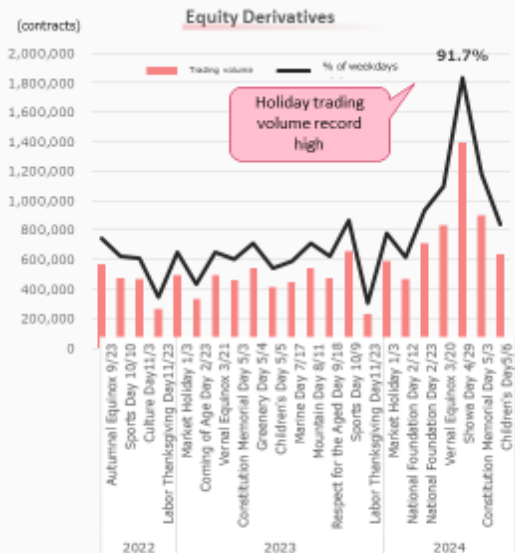
Here is a table summarizing our recent initiatives. I will pick out the main measures and explain them in the following slides.

Since 2022, we have achieved several milestones, including the full-scale listing of electricity futures and the commencement of holiday trading. In 2023, we introduced new products such as Nikkei 225 Micro Futures, Mini Options, and short-term interest rate futures, specifically the three-month TONA futures.

Looking ahead, we have plans to add an additional expiry day for mini options in May next year, which I will discuss later.

Derivatives Holiday Trading

- Holiday trading of derivatives started in September 2022, in order to enhance investor convenience by providing hedging opportunities during holidays.
- 22 holiday trading days have been conducted so far, with trading volumes of about 40% of weekdays.
- Trading volume exceeded initial expectations, which were based on holiday trading volumes at overseas derivatives exchanges.
- Most recently, due to sharp swings in the yen on overseas currency exchanges during the run of consecutive holidays in April/May, derivatives were used as risk hedging tools, sending **both OSE and TOCOM holiday trading volumes to record highs**.



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Next, I will discuss several initiatives mentioned earlier, starting with holiday trading.

Historically, we have had consecutive holidays during long breaks, which limited hedging opportunities. To address this, we launched holiday trading in September 2022.

Since then, there have been 22 holiday trading sessions, with an average volume of about 40% of that on regular weekdays. Based on the performance of overseas markets, we initially expected about 20% to 30% of the weekday volume, so achieving 40% has exceeded our expectations.

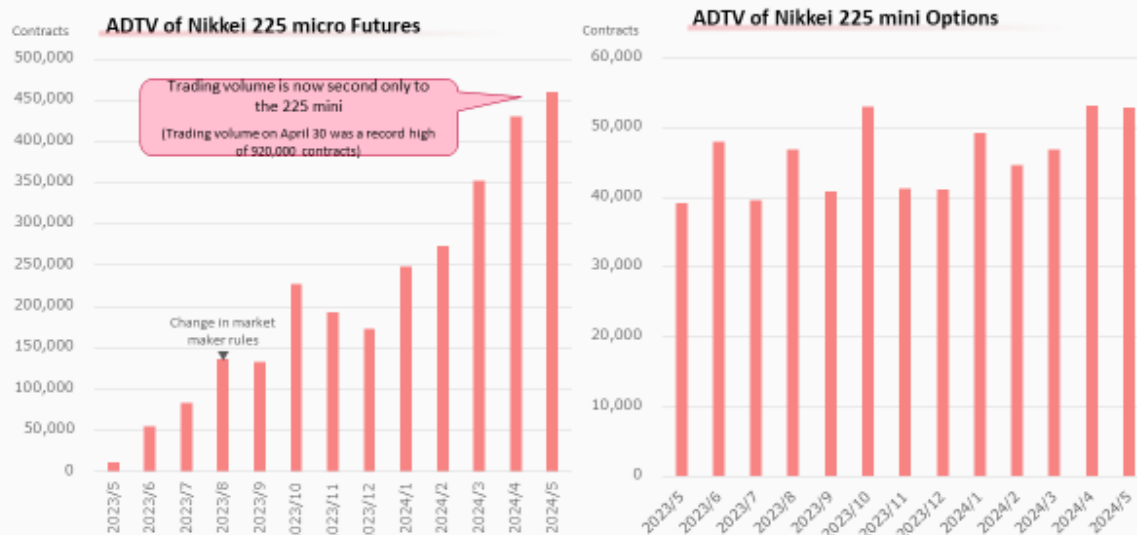
Recently, during this year's long holiday, there was significant volatility in the yen exchange rate, leading to increased use of holiday trading for risk hedging. Both OSE and TOCOM reached record-high trading volumes on holidays.

Notably, on April 29, equity trading volume was over 90% of a regular weekday, almost equivalent to weekday levels. Commodity trading volume was twice that of a regular weekday, indicating substantial activity.

These results suggest that the holiday trading initiative is effectively achieving its intended purpose.

Trends in Nikkei 225 micro Futures and mini Options

- Nikkei 225 micro Futures and mini Options, with smaller notional amounts than existing products, were listed on May 29 last year.
- Trading volumes for both products are growing healthily, and they have become an entry product for those with no previous experience of futures and options.
- In May 2025, we will add new expiration dates for mini Options. By adding issues with a Wednesday expiration to the existing Friday ones, we will provide more targeted risk hedging tools that can respond to all kinds of economic events.



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Here, I will discuss the trading status of the new products launched last May, specifically the Nikkei 225 micro futures and mini options.

The Nikkei 225 micro futures and mini options have smaller notional amounts compared to conventional products. For the Nikkei 225, we have the regular futures, which we refer to as “large,” and then there are the mini and micro futures. The micro futures are 1/10 the size of the mini futures and 1/100 the size of the large futures. The mini options are 1/10 the size of the regular 225 options.

As you can see, the trading volume for the micro futures has been steadily increasing. As of May this year, the average volume has exceeded 400,000 contracts, with some days surpassing 500,000 contracts.

While the mini options have not seen a perfectly linear increase, they have been averaging around 50,000 contracts. Given that it has only been a year since trading began, this level of growth is notable.

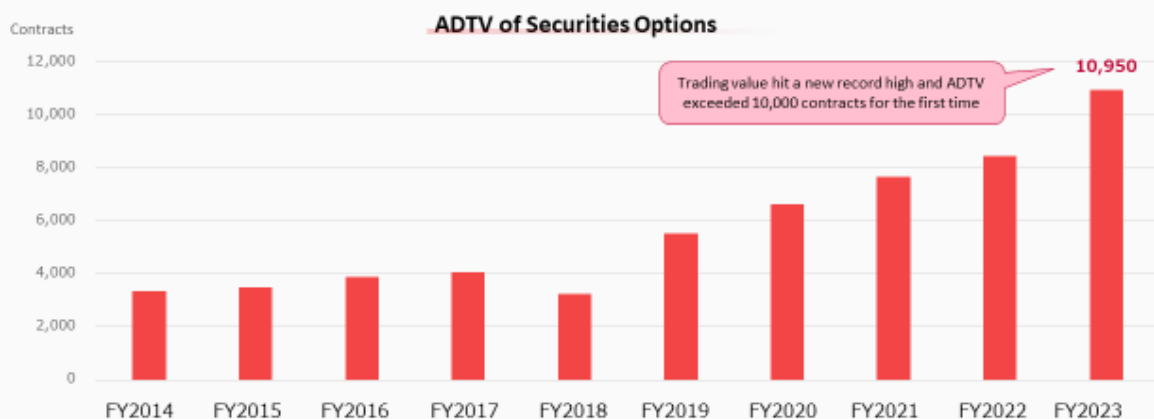
As I mentioned earlier, in May next year, we plan to introduce a new expiration day for the mini options. Currently, the mini options, which are weekly options expiring every Friday, will have an additional expiration day on Wednesday.

The mini options, due to their short expiration periods, serve as a risk hedging tool for specific event risks on certain days, such as meetings of the Federal Reserve or policy decisions by the Bank of Japan. This additional expiration day will allow for more precise risk hedging.

This approach is also popular overseas, and by adding another expiration day to the existing Friday, we expect that investors will be able to use these options for more detailed risk management.

Securities Options (Single Stock Options) Market

- Given the recent increase in interest in Japanese stocks due to bullish stock prices and the new NISA, the securities options market is attracting attention from investors as its use cases are closely linked with cash equity investment, such as improving yield on and hedging individual stocks and ETFs.
- To expand and normalize the use of these products, OSE has changed the margin rules so that no extra margin deposit will be required for covered call and target buying transactions under certain conditions (from June 2024).
- Trading is on a gradual upward trajectory. Given that Japan's cash equity market is the world's third largest, there is much room for improvement.



- We plan to add eligible issues depending on market demand.

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Regarding the individual securities options market, which we call “Kabu Options,” these individual stock options have shown significant potential. Looking at the trading volume, the average daily trading volume in FY2023 has exceeded 10,000 contracts for the first time, indicating that this product has the potential to achieve even greater growth.

As you are aware, the rising interest in Japanese stocks, fueled by the recent stock price increase and the introduction of the new NISA system, has led to a growing interest in individual stocks and ETFs. Kabu Options, which have the highest affinity with equity investments, are being increasingly recognized by investors for their ability to enhance yields and provide hedging opportunities.

To promote and establish this market, we have implemented a reform of the margin system last month. This reform ensures that no additional margin calls occur between securities companies and investors when using extremely low-risk option trading methods like covered calls or target buying.

As I mentioned earlier, while the trading volume is gradually increasing, considering the size of the equity market, there is significant room for further expansion. Additionally, with the new NISA encouraging the opening of new accounts and investment in individual stocks, there is ample room for long-term growth.

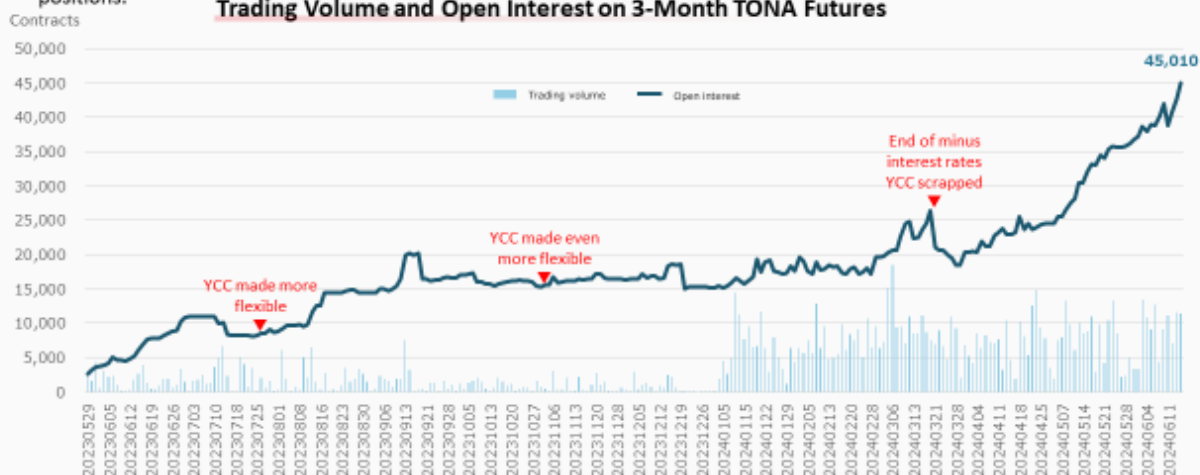
We also plan to add new eligible stocks based on market needs, with the additions already announced and set to be implemented by the end of this month. For instance, popular stocks such as Lasertec, Disco, and SCREEN are among the new additions.

Given their high stock prices, which can make direct investment challenging, individual stock options allow investors to invest in these stocks with smaller amounts. We are considering various measures, including this, to make investment more accessible and attractive.

Expanding the Interest Rate (3-Month TONA*) Futures Market

- Listed on May 29 last year in response to growing attention to JPY interest rates caused by rising prices and interest rate hikes in other countries, among other things
- With 10-year JGB Futures already available, 3-Month TONA Futures provide market participants with the convenience of one-stop trading of short- and long-term interest rate products.
- We also implemented cross-margining rules that enable investors with positions in interest rate swaps and short-term interest rate futures to reduce their collateral burden (launched March 4, 2024).
- Since the end of minus interest rates in March 2024, interest in the market has jumped, and there has been strong growth in positions.

Trading Volume and Open Interest on 3-Month TONA Futures



*TONA is an abbreviation of Tokyo Over Night Average rate and represents the interest rate for transactions in which short-term funds are borrowed without collateral in the call market and repaid the next day. In Japan, TONA has been identified as an alternative risk-free rate to LIBOR.

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Regarding the trading status of short-term interest rate futures, these were listed in May last year, driven by the increasing attention on yen interest rates. At the Osaka Exchange, where we handle these futures, we emphasize the convenience of being able to trade, settle, and clear both long-term and short-term interest rates in a one-stop manner, especially since we already have futures for long-term JGBs.

Additionally, within our group, the Japan Securities Clearing Corporation (JSCC) handles the clearing of interest rate swaps. In March of this year, we introduced cross-margining, leveraging the synergy of our entire group to promote these products.

Since the lifting of negative interest rates in March this year, market attention has surged, leading to a significant increase in open interest, which now exceeds 40,000 contracts. However, even before the negative interest rates were lifted, trading volumes and open interest had been gradually increasing.

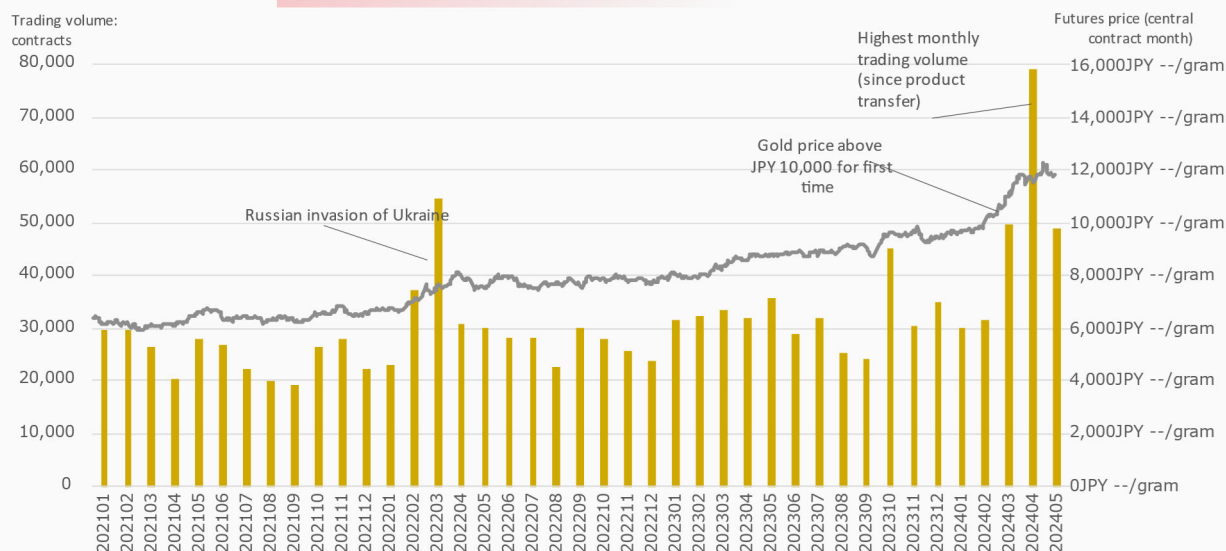
Reflecting on the past situation at TFX where the three-month Euroyen interest rate futures were traded, we believe that short-term interest rate futures have considerable potential in an era of positive interest rates.

Although negative interest rates have been lifted, we have not yet fully transitioned to a policy of positive interest rates. Looking ahead, we aim to further develop and expand this product so that it can thrive in a positive interest rate environment.

Trends in Gold Futures

- As the price of gold continues to break records, interest from retail investors is holding at a high level.
- Trading volumes are strong, partly due to the entry of commercial entities using the market for import/export purposes. Since the second half of the last fiscal year, trading volume has been holding steadily above 30,000 contracts. 2024 saw the highest monthly trading volume since the product transfer to OSE.

ADTV and Price of Gold Standard Futures



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Next, I will discuss two points related to commodities. This slide focuses on gold.

In the commodities sector overall, we have seen strong performance in some areas while others have struggled. Here, I will specifically talk about the trading status of gold futures.

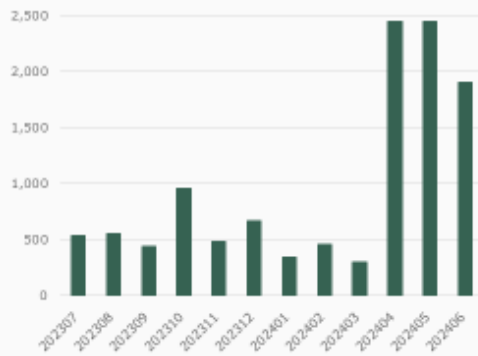
As you can see from the graph, the trading volume has consistently exceeded 30,000 contracts, driven partly by the significant rise in gold prices. In April this year, we recorded the highest monthly trading volume since the product was transferred, indicating a surge in interest and substantial growth in trading volume.

Again, while some commodity futures have performed well and others have not, we intend to focus more on the successful ones, such as gold, to attract more trading activity.

Electricity Futures

- Given that Japan is the world's fourth-largest consumer of electricity, there are expectations for growth of the energy market.
- After launching with 13 companies, the electricity market has now grown to 170 companies, and is steadily expanding its range.
- Weekly futures were added in March 2024 to respond to demand for short-term risk hedging.
- In April to June 2024, we strengthened the market maker scheme temporarily to encourage hedge trading for the high-demand summer season. Since this was well-received by market participants, we have extended the initiative (July to August) to encourage hedge trading for autumn and beyond.

Contracts Electricity Futures: Monthly Trading Volumes in the Last Year

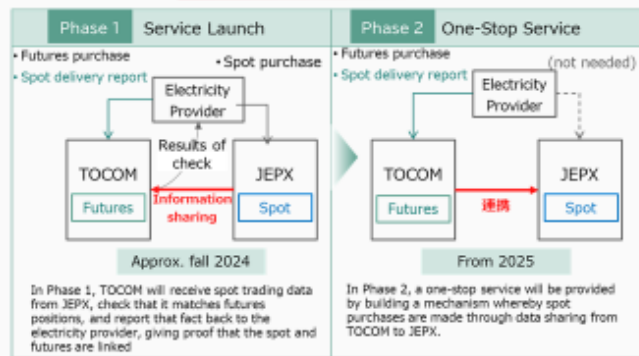


- JPX has signed an MoU with Japan Electric Power Exchange (JEPX) for cooperation toward strengthening the functions of the electricity market, and the two plan **joint provision of a service to link spot and futures trades** (tentatively named **JJ-Link**). We expect JJ-Link to bring benefits such as simplifying electricity utilities' operations and potentially being a positive factor when applying hedge accounting to electricity futures.

➤ TOCOM plans to set up a working group on applying hedge accounting to electricity futures from late July to discuss the issues that could arise in terms of accounting standards.

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The JJ-Link Service



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Lastly, I would like to touch on electricity futures. As you know, Japan is the fourth largest electricity consumer in the world, and considering the spot market, the growth potential for both the electricity market and the electricity futures market is highly anticipated.

This is a product handled by TOCOM, and we have high expectations for it. For example, in March of this year, we added weekly futures to meet short-term risk-hedging needs, and from April to June, we strengthened the market maker system to promote hedging transactions for the summer demand. As you can see, there was a significant recovery in trading volume this fiscal year after a period of stagnation last year.

To further drive this growth, as we have announced, we have signed a memorandum of mutual cooperation with the Japan Electric Power Exchange (JEPX), the spot market exchange. We refer to this initiative as "JJ-Link." We plan to enhance the linkage between spot trading services and futures trading services.

This will simplify the operations related to spot and futures for electricity businesses and will be beneficial when applying hedge accounting for electricity reduction. Therefore, we believe this will be a differentiating factor for TOCOM electricity futures, and we intend to continue focusing on this area.

That concludes my explanation.

Question & Answer

Takahashi : We will now begin the Q&A session. Please feel free to ask your questions.

Watanabe: This is Watanabe from Daiwa Securities. Thank you for the explanation. I have two questions.

The first question is about the potential of interest rate products. Could you tell us about the current revenue scale of the three-month TONA, which you mentioned earlier, and what level can be expected in a world with positive interest rates? Additionally, could you provide insight into the competitive environment with TFX and whether you are capturing an appropriate market share?

Yokoyama: Thank you.

As you pointed out, there is significant potential for the expansion of interest rate products, particularly the newly launched three-month TONA futures. Currently, we are not charging transaction fees since it's just the beginning of trading, so future revenue expectations are based on upcoming developments.

Internally, we are discussing when and how to start charging fees, considering our relationship with other exchanges, including those mentioned in your question.

As for the future potential, it is challenging to make precise predictions. However, as a past example, the three-month Euroyen Futures at TFX once averaged over 100,000 contracts per day during a period of positive interest rates.

While we can't directly apply those figures to TONA futures due to changes in economic conditions and the composition of trading participants, it is something we keep in mind when considering the future potential of TONA futures.

Furthermore, regarding the differentiating factors, you can refer to the statistical information provided by both sides for comparisons of current trading volumes and open interest. However, I believe that, at least in terms of open interest, our figures in Osaka are higher.

As I mentioned earlier, Osaka benefits from the synergy of handling both short-term and long-term interest rate products as well as IRS, within our group. We aim to continue leveraging these advantages and promoting our strengths and benefits.

Watanabe : My second question is about the competitive environment for electricity futures.

The European Energy Exchange (EEX) holds a high market share, but do you think that the introduction of hedge accounting and collaboration with JEPX will change this competitive landscape? Could you share your perspective on this?

Yokoyama: As you pointed out, the EEX currently holds a significant lead in comparison to our electricity futures market. However, when considering the relationship with overseas trading, determining the most appropriate benchmark for comparison is essential. In terms of actual power generation and the trading of spot and futures, we see that many examples worldwide show at least a 1:1 ratio.

Even when combining EEX and TOCOM, the trading volume is only about 10% of Japan's power generation. This suggests that we are still in the early stages of market development, with considerable room for growth.

Additionally, while it might be possible for spot and futures markets to develop independently, as I mentioned earlier, we are currently in the starting phase. At this stage, solid integration between the spot and futures markets is crucial for growth.

In this context, the so-called JJ-Link and our strong relationship with JEPX will be foundational. Demonstrating the effectiveness of this collaboration will be a significant factor in realizing the future potential of the market.

Watanabe: I understand very well. Thank you very much.

Takahashi: Are there any other questions?

Niwa: This is Niwa from Citigroup. I would like to ask about bonds.

My question is regarding long-term JGB futures. It seems that they have significantly exceeded initial forecasts. I am interested in understanding what the organic level of this might be.

Specifically, if you could provide quantitative data, that would be helpful. Additionally, I would like to know if there have been any changes in the trading motivations and appetites of participants. Is it simply due to changes in interest rate expectations, or are there shifts in how these futures are being used, such as for risk hedging or to seek profit opportunities? Could you share your analysis on any changes in trading motivations?

Yokoyama: Thank you.

We have been trading long-term JGB futures for a long time, so we can observe past trends. From my perspective, there has been significant growth in open interest since the latter half of last year.

Reflecting on last year, we saw a change in the Bank of Japan's governor, accompanied by various statements and speculations. There were expectations and observations about the possible lifting of negative interest rates as early as last year, among other factors.

This uncertainty and speculation led to a significant increase in open interest in JGB futures. Both the TONA and JGB futures markets have shown a cautious and reactive approach to current interest rate trends.

In terms of open interest, we are nearing levels similar to those seen in the peak periods of 1996-1997, when interest rates were around 3%. Despite the long period of negative or zero interest rates, the current levels of open interest are comparable to those past periods.

On the other hand, considering the large amount of money circulating in the market, there is significant energy driving risk-taking and hedging activities in bonds, even with small differences in interest rates.

It is difficult to predict how much further this trend will go, but I believe that the current levels of open interest are comparable to those past peak levels.

Niwa: My second question looks ahead about five years. How do you foresee the revenue composition by product type?

Currently, I believe the Company is predominantly positioned as an equity derivatives house. With the success of various initiatives, is it possible that the proportion of revenue from bonds and commodities might increase, changing the magnitude seen in the table on page 13? I'm interested in both the potential of new products and the upside for equities. How do you see the mix evolving?

Yokoyama: When considering JPX as a whole, it is indeed a matter of revenue diversification. This involves various market conditions, such as interest rates and commodity markets.

For example, with gold futures, these different sectors may sometimes correlate, while at other times, they may not be highly correlated. Ideally, even if one sector experiences a downturn in trading, the other sectors can compensate for it. Whether this results in an even distribution of one-third each is uncertain.

However, rather than aiming for a specific proportion, we are focusing on maximizing the potential of each sector, as I mentioned in the earlier explanations. This way, they can potentially complement each other.

In this regard, we aim to grow areas such as equity indices, interest rates, bonds, and commodities, including gold and electricity. We want to expand sectors that are not currently major revenue generators and also explore further growth opportunities in sectors that are already performing well.

Takahashi : This concludes the Q&A session on the derivatives market. Thank you very much.

Yokoyama : Thank you.

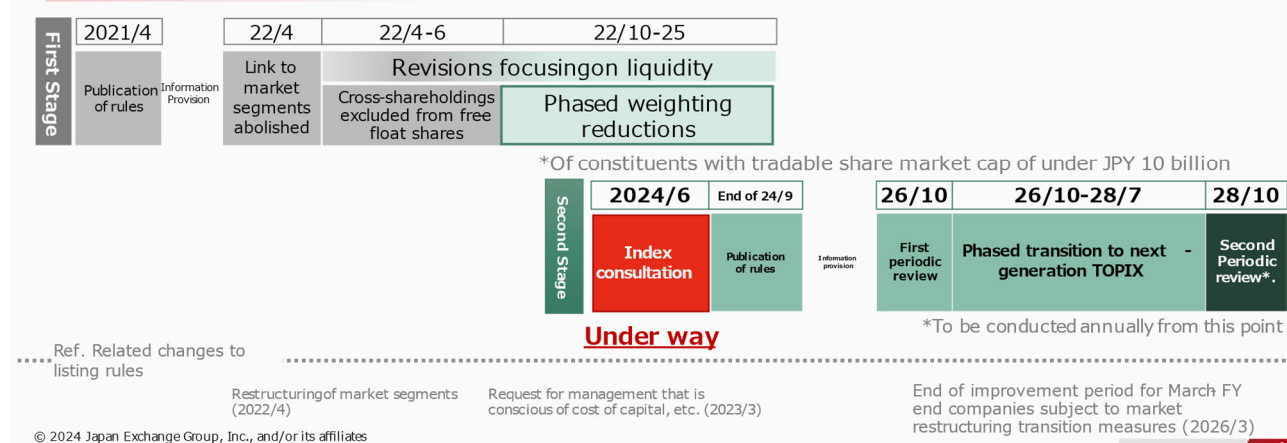
Presentation

Takahashi: Next, Miyahara will provide an explanation about data and digital services. President Miyahara, please go ahead.

TOPIX Revisions

- The first stage of TOPIX revisions are set to be completed by the end of January 2025.
- Index Consultation will be conducted during the second stage of these revisions, which aims to further enhance TOPIX's broad coverage and its functionality as an investable index while ensuring its continuity. This effort is currently under way (opinions will be solicited starting June 19, 2024).
 - Ensure the continuity of the index taking into account the large amount of assets linked to TOPIX (over JPY 83 trillion (as of March 2023)) and its wide usage.
 - Periodic reviews of issues in all market segments will be conducted with a greater emphasis on liquidity.
- The transition will be conducted in phases and sufficient time will be ensured for public awareness and transitioning in order to smoothly transition to the next-generation TOPIX and mitigate the impact on the market.

Overall flow of TOPIX review



Miyahara: This is Miyahara from JPX Market Innovation & Research. Thank you for your attention today. I will explain two main points: the progress of various initiatives related to index and data services, and the progress of various initiatives related to digital transformation (DX).

First, regarding the initiatives related to index and data services. Let me start with the review of TOPIX. We are currently reviewing TOPIX, independent of market segments, to enhance its functionality as an investment target. This is the first phase of the review, which is scheduled to be completed by the end of January 2025.

A key point is that we are currently working on excluding stocks with a free-float market capitalization of less than JPY10 billion from TOPIX. According to our current estimates, 439 stocks will be excluded from TOPIX.

Following this, we are conducting a consultation on the second phase of the review, as outlined in the draft proposal published in late June. The key points of this second phase will be explained on the next page. In any case, considering that assets linked to TOPIX are enormous and that it is used by a wide range of investors, we plan to implement the second phase of the review gradually, ensuring ample transition and notification periods, just as we did with the first phase, as shown at the bottom of the slide.

Next-Generation TOPIX (Main Changes)

- Issues from all market segments (Prime/Standard/Growth) will be selected annually based on liquidity criteria (annual traded value ratio and free-float adjusted market cap) and undergo periodic reviews.

	Next-Generation TOPIX	Reference: Current TOPIX									
Target Markets	Prime Market, Standard Market, Growth Market	Prime Market ^{*1}									
Periodic Review	Annually, on the last business day of October (base date: last business day of August)	N/A									
Selection Criteria	- Periodic review of constituents based on the following liquidity criteria <table> <tr> <th>Indicator</th><th>Inclusion Criteria</th><th>Continuation Criteria^{*2}</th></tr> <tr> <td>Annual Traded Value Ratio</td><td>0.2 or more</td><td>0.14 or more</td></tr> <tr> <td>Percentage of Cumulative Free-Float Adjusted Market Capitalization</td><td>In the top 96%</td><td>In the top 97%</td></tr> </table> - The inclusion criteria will be applied to issues that are not TOPIX constituents. The continuation criteria will be applied to issues that are TOPIX constituents.	Indicator	Inclusion Criteria	Continuation Criteria ^{*2}	Annual Traded Value Ratio	0.2 or more	0.14 or more	Percentage of Cumulative Free-Float Adjusted Market Capitalization	In the top 96%	In the top 97%	N/A
Indicator	Inclusion Criteria	Continuation Criteria ^{*2}									
Annual Traded Value Ratio	0.2 or more	0.14 or more									
Percentage of Cumulative Free-Float Adjusted Market Capitalization	In the top 96%	In the top 97%									
Non-periodic Inclusion	New listings on the Prime, Standard, and Growth Markets whose free-float adjusted market capitalization exceeds the minimum for issues with a percentage of cumulative free-float adjusted market capitalization in the top 95%	New listings on or transferred to the Prime Market									

^{*1} Includes constituent issues who, at the time of the restructuring of market segments, selected the Standard Market and Growth Market.

^{*2} Continuation criteria (buffer rule) introduced for index stability and investment efficiency

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The key points of the second phase of the review are as follows.

First, it will cover all markets, including Prime, Standard, and Growth. Second, we will select stocks using annual liquidity criteria, specifically the turnover ratio of trading value and the cumulative ratio of free-float market capitalization, and conduct regular replacements.

For more detailed information, please refer to the table provided later.

Results of Estimations^{*1} (Based on August 2023 data)

- Broad coverage and functionality as an investable index are improved, while ensuring the index's continuity.

	Current TOPIX	Next-Gen TOPIX	Comparison with current TOPIX
Number of constituents	Approx. 1,700 ²	Approx. 1,200	Approx. 50 constituents from the Standard and Growth Markets
Total free-float adjusted market capitalization	JPY 434 tril.	JPY 430 tril.	No notable change
Market coverage ^{*3}	97.5%	96.6%	No notable change
Free-float adjusted market capitalization (median)	Approx. JPY 35 bil.	Approx. JPY 73 bil.	Approx. 2-fold increase
Daily trading value (median) ^{*4}	Approx. JPY 250 mil.	Approx. JPY 590 mil.	Approx. 2-fold increase

^{*1} Estimated using the last business day of August 2023 as the record date. Please note that the closing value at the time of the first rebalance base date (record date: last business day of August 2026) is different.

^{*2} Includes TOPIX constituent issues at the time of market segment revision (listed on the former TSE First Section) for which the Standard Market or Growth Market was selected.

^{*3} Market coverage is the ratio of the total free-float adjusted market capitalization of TOPIX constituents to the total free-float adjusted market capitalization of all listed companies.

^{*4} Six-month average from March to August 2023

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Based on the data from August 2023, here is an estimated impact of the current review.

The number of stocks is expected to decrease by about 500 from the current TOPIX, resulting in approximately 1,200 stocks. Among these, 50 stocks are expected to be adopted from the Standard and Growth markets.

The total free-float market capitalization and market coverage ratio are expected to remain almost the same as the current TOPIX, ensuring the continuity of the index.

Looking at the bottom of the table, the free-float market capitalization and average daily trading value are expected to approximately double as compared to the current TOPIX, which we believe will enhance its functionality as an investment target.

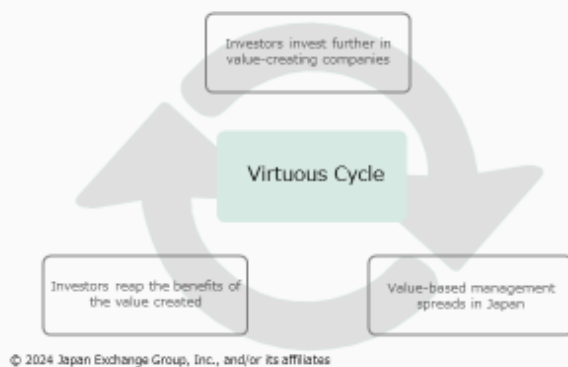
With this review, as explained, we aim to maintain the continuity of the index while improving its broad coverage and functionality as an investment target.

Promote the use of the JPX Prime 150 Index

- Started calculating the JPX Prime 150 Index, which focuses on a company's earning power (July 2023).
 - 150 of Japan's leading value-creating companies are selected using P/B ratios and equity spreads.
- In addition to the listing and setting date of three index-linked products, index futures were listed on the Osaka Exchange on March 18, 2024.
- JPX Group will work together to promote the use of this Index, which is expected to drive the Japanese economy by encouraging the increase of value-creating companies in Japan and helping them achieve further growth.

Index Concept

An index composed of leading Japanese companies that are estimated to **create value**.

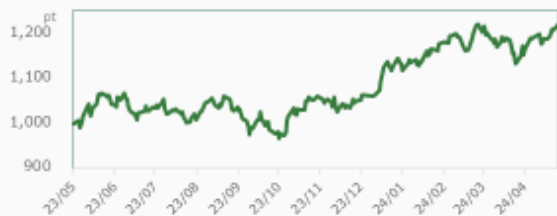


ETF/Investment Trust

Management company	Linked products	Listing date/Setting date	Net assets*
Daiwa AM	ETF	1/24	JPY 13.9 bil.
Daiwa AM	Investment trust	1/31	JPY 5.7 bil.
Nomura AM	ETF	3/18	JPY 2.4 bil.

* As of May 20, 2024

Index Performance (price return index)



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Let me explain the progress in promoting the use of the JPX Prime 150 Index.

As explained during last year's Investor Day, this JPX Prime 150 Index is based on what we refer to as the earning power of companies, calculated using P/B ratio and equity spread. We selected 150 companies that are estimated to create significant corporate value in Japan.

Currently, as you can see on the right side with ETFs and publicly offered investment trusts, three linked products have been listed and set up. Additionally, index futures have been listed on the Osaka Exchange since March this year.

We are working as a unified group to promote management that is conscious of capital costs and stock prices. By advancing the use of this index, we hope to further enhance the attractiveness of the Japanese stock market.

Expansion of Index Lineup

- In order to meet the diverse needs for indices, such as benchmarks and indicators for financial products, 14 new indices have been calculated since fiscal year 2023 for a total of over 250 indices offered.
- Continue to focus on promotion of existing indices and promote development of indices that meet investors' needs

List of indices newly calculated in the past year

Index Name	Index Overview	Calculation Start Date
JPX Prime 150 Index	✓ 150 of Japan's leading value-creating companies are selected using P/B ratios and equity spreads.	July 3, 2023
TSE REIT Index Leveraged Index TSE REIT Inverse Index TSE REIT Double Inverse Index	✓ Index that is 2x, -1x, or -2x the daily fluctuation rate of the TSE REIT Index.	July 3, 2023
TSE REIT Sector Focus Index Series (3 indexes)	✓ Indices composed of REITs which mainly invest in investment properties in specific sectors, etc.	September 4, 2023
TOPIX Micro Cap	✓ Small-cap index which includes TOPIX constituents but excludes constituents of TOPIX1000.	March 4, 2024
TOPIX large-cap stock and mid-cap stock style indexes (6 indices)	✓ TOPIX large cap and mid-cap stock indices classified by style (value/growth)	March 4, 2024

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Regarding our initiatives for other indices, we recognize the diverse needs of the market and aim to respond appropriately. In FY2023, we began calculating 14 new indices, as shown on this slide.

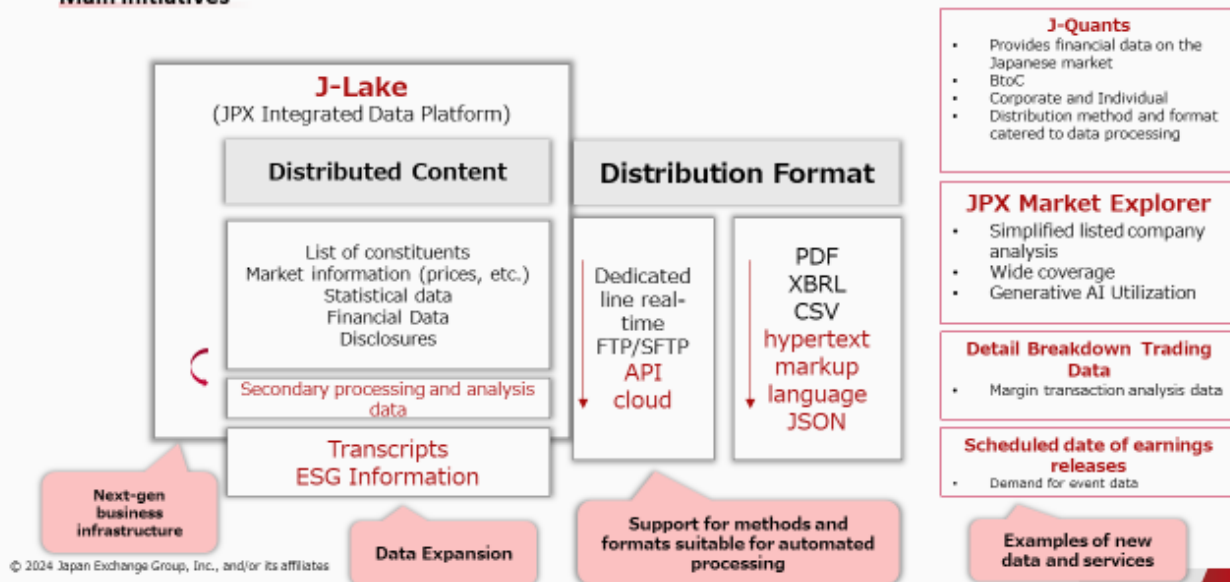
Among these, ETFs have been listed for the TSE REIT Inverse Index and the three indices in the TSE REIT Sector Focus Index series.

Going forward, we will continue to promote existing indices while also focusing on developing new indices that meet investor needs.

Initiatives Related to Data Service Business

- Diversification of distribution methods and content to meet the growing demand for automated data processing.
- Efforts to further enhance investment-related information and promote its utilization based on cooperation with various stakeholders.
- Enhancement of ESG-related information, for which demand is expected to increase

Main Initiatives



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Regarding our initiatives in the data services business, there are three key points: diversification of distribution content and methods, enhancement and promotion of investment-related information through collaboration with various stakeholders, and enrichment of ESG-related information.

Firstly, an example of recent efforts to diversify distribution content and methods is the launch of the J-Quants API service. This is JPX's first business directly targeting retail customers (B2C), providing data services to individuals.

We are pleased to report that the number of users is steadily increasing each month. In response to this growth, we have also launched JPX PRO, a service aimed at institutional investors and corporations.

The second point is collaboration with various stakeholders. We have partnered with Bridgewise, an Israeli company, utilizing their generative AI technology. Through this partnership, we are distributing company information and financial analysis of TSE-listed companies in multiple languages via the JPX Market Explorer.

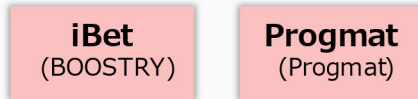
The third point is the enrichment of ESG-related information. Comprehensive ESG information can be challenging to compile and access, creating a burden for information creation and collection. To address this, we have built the ESG Bond Platform and the JPX ESG Link website, providing these resources to listed companies and investors.

Through these efforts, we aim to further enhance the attractiveness of the Japanese stock market.

Initiatives Related to Digital Assets

- Strengthen relationships with key players in the digital asset ecosystem
- Aim to create digital asset -related businesses in the area of digital bonds for institutional investors.

Strengthen Relationships With Key Ecosystem Players

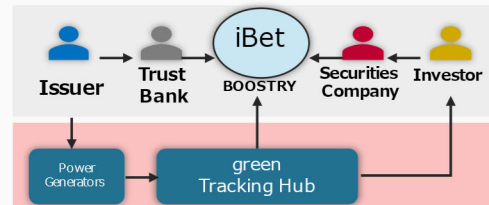


- ✓ In FY2023, the security token market is expected to see approximately JPY 100 billion in issuance (5.8 times larger than the previous fiscal year).
- ✓ Invest 5% in each of the two largest security token platforms in Japan (over 90% of the issuance market share)

➤ **Strengthen relationships with each platform operator and related parties to understand the business environment and explore the possibility of contributing to the Company**

- ✓ Efforts regarding digital currencies are also underway, including participation in forums on privately issued digital currencies and the Bank of Japan's CBDC to gather information on business impact. Full -scale use is expected to take time.

Moving Toward the Use of Digital Bonds



- ✓ Characteristics of the current security token market: Most are commodities for individuals, with real estate as the target asset. Turnover is low due to the asset nature of the products, and secondary trading is minimal.
- ✓ Our target: digital green bonds for institutional investors

➤ **It is necessary to integrate different types of business with traditional exchanges, similar to our Green Tracking Hub**

➤ **To expand issuance, the primary market must become more efficient and digitized.**

Next, I will explain the various initiatives related to DX and digitalization.

As you are aware, the advancement of digital services across society has accelerated in recent years. This has created opportunities for companies to utilize digital technologies to develop new services and products.

At JPX, we aim to keep pace with these developments by diversifying digital products and developing new services.

We are currently focusing on two major initiatives. The first is strengthening our relationships with market players in the digital asset ecosystem. The second is creating business opportunities in the field of digital bonds for institutional investors.

Regarding strengthening relationships with key players in the ecosystem, we have invested in two major security token platforms. One is BOOSTRY, which operates the security token platform "iBet," and the other is Progmatt, a joint venture led by Mitsubishi UFJ Trust and Banking Corporation with eight partner companies. We have invested 5% in each of these platforms.

Through these investments, we aim to strengthen our relationships with the platform operators and co-investors, gaining insight into this new business environment and exploring our potential contributions.

In addition to security tokens, we are also keeping an eye on developments in digital currencies, including private digital currencies and the Bank of Japan's central bank digital currency (CBDC). We are participating in forums related to these initiatives and gathering information.

The second point concerns the utilization of digital bonds. With the increasing issuance of ESG bonds, we expect that digital bonds will play a significant role in this area. We aim to revitalize the primary market and eventually open up the secondary market.

Recently, JPX itself issued Japan's first Green Digital Track Bond for institutional investors.

Additionally, in December last year, Hitachi issued JPY10 billion in digital bonds. By accumulating such issuance cases, we aim to improve the efficiency and digitalization of the primary market, which will, in turn, lead to the development of the secondary market.

The digital asset field is still in its early stages, but we will continue to build networks and gather information, exploring business opportunities for JPX.

That concludes my explanation. Thank you for your attention.

Question & Answer

Takahashi: We will now begin the Q&A session. Please feel free to ask your questions.

Watanabe: This is Watanabe from Daiwa Securities. Thank you for the explanation. I have two questions.

The first question is about digital assets. Originally, according to your mid-term plan, you intended to establish a security token secondary market by the end of FY2024. Has there been any change in this timeline?

Additionally, you mentioned CBDCs. Could you share your perspective on how the introduction of CBDCs might affect the exchange business?

Miyahara: As you pointed out, our Medium-Term Management Plan 2024 included the goal of establishing a secondary market for digital securities by the end of FY2024. However, as you may know, the primary market has not been very active.

To understand the reasons behind this, JPX itself issued a Green Digital Track Bond and organized a series of seven study sessions with various stakeholders, including around 64 companies, investors, law firms, accounting firms, and various businesses.

One significant bottleneck identified was the issue of tax treatment, specifically the non-applicability of withholding tax exemptions on interest. This exemption applies to regular book-entry bonds, but its absence for digital bonds complicates operations significantly.

In response to this, we have been actively engaging with the relevant authorities, and as a result, tax reforms have been implemented. This breakthrough in addressing a major bottleneck should help revitalize the issuance, or primary market, moving forward.

Therefore, regarding the timeline until FY2024, establishing a secondary market within this fiscal year is currently challenging due to the lack of activity in the primary market. Our priority is to first revitalize the primary market.

Regarding CBDCs, we are participating in the Bank of Japan's forum alongside JSCC. As a result, there may be various impacts on settlements and other areas requiring responses. I would like to ask President Konuma to provide further details on this matter later. Thank you.

Watanabe: My second question is about the potential for M&A. At this forum a year ago, you explained the regulatory constraints. Since then, have there been any solutions or updates? Currently, it seems that JPX is maintaining a significant amount of surplus capital. Could you also talk about the growth opportunities through M&A?

Miyahara: As you know, JPX Market Innovation & Research was established two years ago and began its operations alongside Medium-Term Management Plan 2024. Our goal is to expand various businesses beyond traditional exchange operations and contribute to JPX's revenue streams and business portfolio.

In many areas outside our traditional exchange business, such as DX, digital assets, and information services, we find ourselves somewhat lacking in internal expertise and technological capabilities. Thus, leveraging the knowledge and networks of external partners to broaden our business scope is crucial.

For example, as you know, we acquired 100% of SCRIPTS Asia, a company that quickly disseminates information in both Japanese and English. This acquisition allows us to enhance our information dissemination capabilities within the JPX Group.

Additionally, we invested in “Minsetsu,” an online IR platform. Going forward, we will consider M&A opportunities to acquire networks and know-how from external partners that relate to various businesses surrounding our exchange operations. This approach will help us expand our business scope and enhance our capabilities.

Although this hasn’t developed into an M&A, we are currently collaborating with AWS on various technical aspects, particularly in organizing our data through their cloud services.

Regarding Bridgewise, the Israeli company I mentioned earlier, while we haven’t invested in them, we have formed a business partnership. Through this partnership, we are disseminating information via the JPX Market Explorer. Moving forward, we will explore various approaches, including leveraging external networks, even if it doesn’t take the form of M&A.

Watanabe: I understand very well. Thank you very much.

Takahashi: Are there any other questions?

Niwa: This is Niwa from Citigroup Global Markets. Thank you.

Building on Mr. Watanabe’s last question, I’d like to ask more about your interest in M&A. What do you consider the missing pieces in your exchange and surrounding businesses?

While you’ve provided a detailed explanation of regulatory constraints, it’s crucial to understand how to build up the surrounding businesses in the face of competition with exchanges in other developed countries. Also, considering the significant improvements in transaction stability in the cash market, I personally believe that regulatory relaxation might be necessary at some point.

Given this, looking at a longer time horizon, could you share some insights into what important functions you think are necessary or missing in your business?

Miyahara: As you pointed out, Mr. Niwa, exchanges in Europe and the US, such as ICE and NASDAQ, frequently engage in M&A to expand their revenue sources from information services.

For example, ICE has integrated a mortgage services company to boost its information services revenue. Similarly, NASDAQ has undertaken various measures, including acquiring companies that, while not directly related to exchange business, enhance their capabilities in areas such as anti-money laundering.

Additionally, many Western exchanges have recently been actively acquiring index companies.

In this regard, we at JPX have already developed significant in-house capabilities. As I explained earlier, we have staff dedicated to index development and have accumulated considerable expertise in this area.

Looking ahead, considering the influence of AI on future business, it will become increasingly important. This means that acquiring or partnering with system companies specializing in AI, or companies focused on adding value to data through AI, will be crucial.

Historically, we have provided raw data to investors, but expanding our data business will require capabilities in AI and value-added data services. In this context, partnerships with companies that have the know-how to add value to data could be highly beneficial.

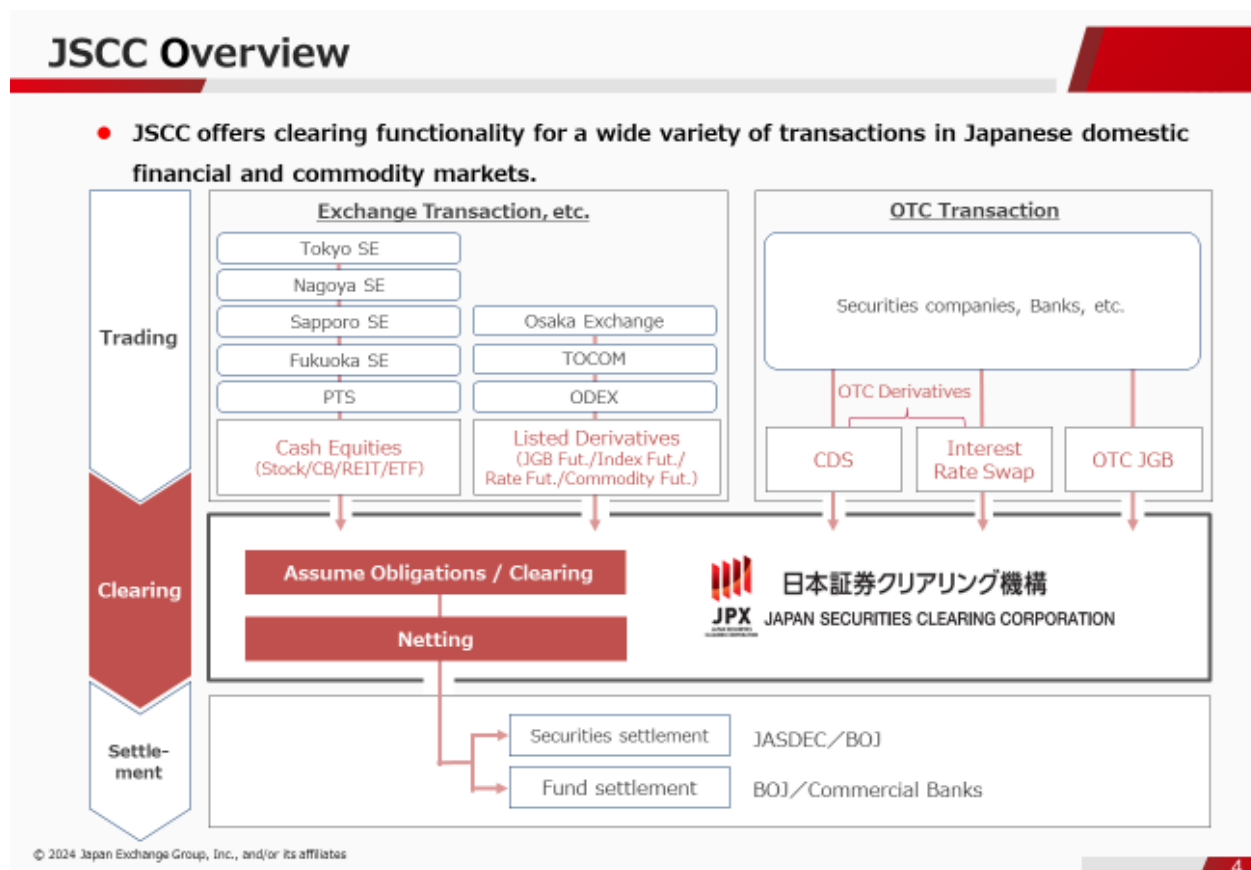
While we operate within a significant regulatory framework and are well-recognized by administrative authorities, our primary goal remains to make the Japanese market more attractive. Expanding services around this market will be our immediate focus.

Takahashi : This concludes the Q&A session on data and digital services. Thank you very much.

Presentation

Takahashi: Next, Konuma will provide an explanation about clearing services.

President Konuma, please go ahead.



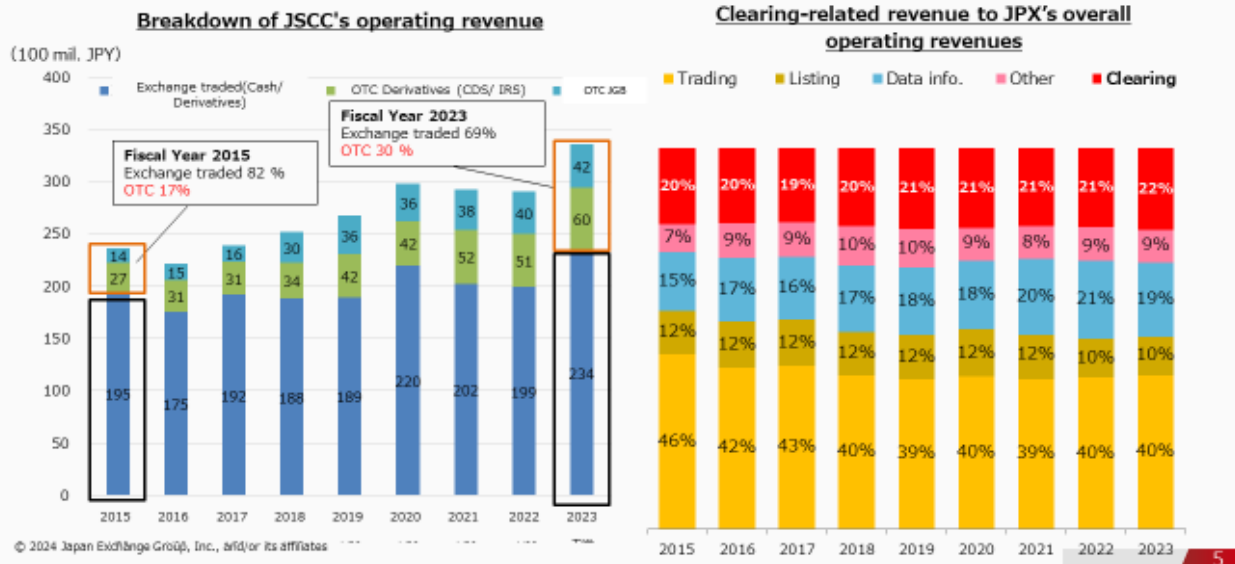
Konuma: This is Konuma from the Japan Securities Clearing Corporation. Since our company name is quite long, I might refer to it as JSCC. Please bear with me.

First, let me explain the nature of our business. As you can see from the many exchange names on the top left, JSCC was established about 20 years ago to enhance the efficiency of clearing and settlement for stock transactions across national exchanges. Since then, we have also taken on the clearing of listed derivatives.

On the right, it says “over-the-counter (OTC) transactions.” Since the early 2010s, we have also been handling the clearing of OTC transactions, particularly focusing on interest rate swaps and Japanese government bonds, as shown in the middle of the right section.

Revenue

- Operating revenues are expanding moderately, mainly from improved market conditions and increase in OTC derivatives clearing volume.
- Majority of the revenues are from exchange-traded transactions (equities and listed derivatives), but revenue from off-exchange transactions (OTC derivatives and OTC JGBs) has increased in recent years.
- JSCC's operating revenue (i.e., clearing-related revenue) accounts for approx. 20% of JPX's overall operating revenue.



Here is the current revenue structure of JSCC.

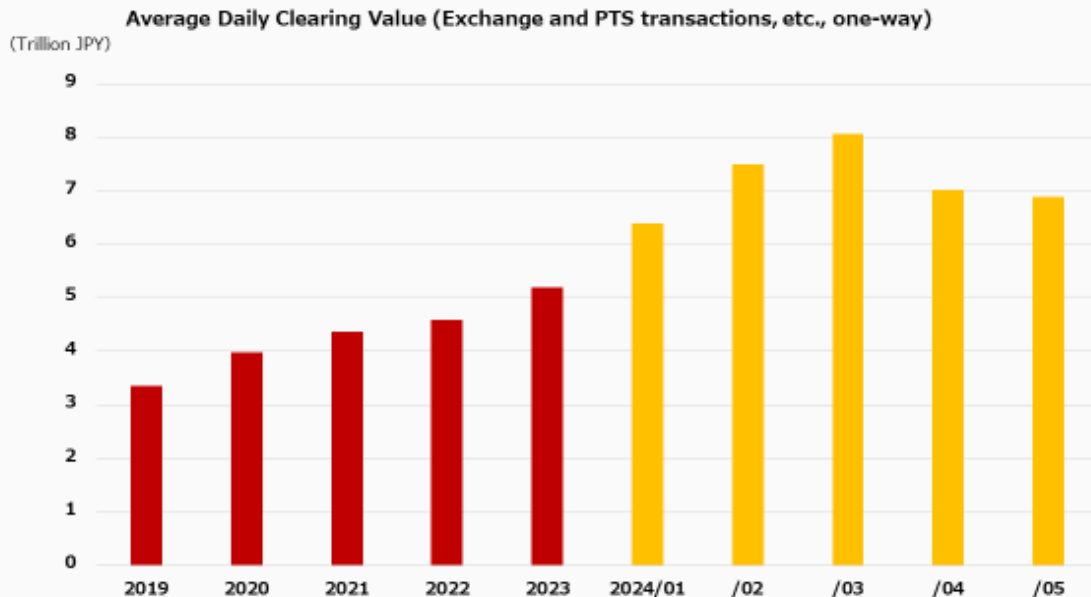
On the left side, in the lower part of the bar graph, the figure “23.4” for FY2023 represents the revenue from clearing services for exchange-traded items, such as cash equities and listed derivatives. The topmost orange section, labeled “4.2,” represents the revenue from clearing services for OTC transactions in Japanese government bonds. The green section below it, labeled “6.0,” represents the revenue from clearing yen interest rate swaps.

Overall, the proportion of revenue from the orange section, representing non-exchange transactions, has gradually increased over the past decade.

On the right side, you can see the proportion of clearing-related revenue as part of the overall JPX revenue, which has been consistently stable at around 20%.

(Reference) Cash Equities Clearing Value

- The clearing value has been steadily increasing over the past few years, with a particularly remarkable increase since the middle of last year



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This chart shows the trend of the notional amount cleared for cash equities and related items, which remains our largest pillar. This figure has been gradually increasing in recent years.

Some of you may already be aware that last year we discussed and revised our clearing fees as part of the initiative to become an asset management nation.

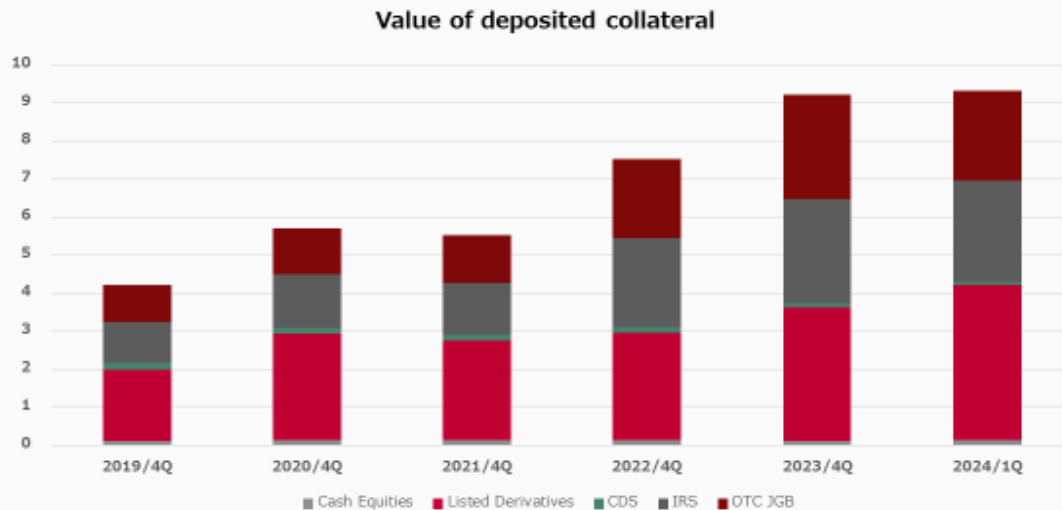
Previously, we had a dual structure with fees based on both the notional amount and the number of transactions. However, given the trend towards smaller transaction sizes, we consolidated this into a single fee based on the notional amount. During the transition period, we also implemented measures to avoid adverse changes and used some resources to review the structure.

As a result, by April and May, the revised fees have generally reached an amount that covers the average revenue from last year.

(Reference) Value of Deposited Collateral

- The value of collaterals deposited with JSCC has steadily increased with an expansion of the scope of clearing coverage and the clearing volume increase.
- (JSCC is currently studying how we can use deposited collaterals effectively to be ready for possible future rise in the level of short-term interest rates.)

(Trillion JPY)



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Looking at JSCC's balance sheet, you can see a substantial amount of collateral, and here is its breakdown.

On the far right for Q1 2024, the light brick color at the bottom represents the collateral amount for exchange-listed derivatives. Above that, the dark gray represents the collateral for yen interest rate swaps. The slightly darker brick color above that represents the collateral for OTC Japanese government bond transactions. The amount of collateral has been gradually increasing in this manner.

Recently, there have been discussions about whether to manage this collateral, a topic that hasn't been widely discussed previously due to the lack of interest rates. However, as opportunities arise, this is becoming a subject of discussion. We are currently considering how to utilize this collateral effectively in the future.

Competitive and Regulatory Environment

- Competitive environment differs depending on cleared market.

Market	Competitive Environment
Listed Cash Equities (Stock / ETF)	JSCC clears all trades on Japanese domestic exchanges and PTS
Listed Derivatives (Financial / Commodity)	Exchanges/Clearinghouses compete globally (CME/SGX)
OTC Derivatives (IRS / CDS)	Intense global competition among clearinghouses (LCH)
OTC JGB	JSCC clears most of the trades between domestic financial institutions

- Regulatory environment: JSCC offers clearing functionality globally under supervision of the domestic and international/overseas regulators.

Type of regulation	Detail
Global Regulation	PFMI (Principles for Financial Market Infrastructures) - International standards requiring higher standards for various items, such as risk management, with the aim to increase the robustness of FMIs - Compliance with the Principles is the minimum requirement for clearing transactions for global financial institutions.
Domestic regulations	Obtained licenses/permits under the FIEA and CDA
Foreign regulations	Obtained CCP licenses from foreign authorities for cross-border trade clearing (especially OTC derivatives) involving overseas financial institutions

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Regarding the competitive and regulatory environment surrounding our company, let's first discuss the competitive landscape.

At the top, we have the listed cash market, including stocks and ETFs. This market involves collaboration with front-end exchanges and other entities.

The second area is listed derivatives, where we work alongside OSE and TOCOM. We are committed to implementing various measures to enhance our competitiveness in this sector as well.

The third area is OTC derivatives, particularly the large interest rate swap market. Internationally, we are in competition with LCH, London Clearing House, in the yen interest rate market. This sector is highly competitive, and we strive to enhance our position while learning from our competitors.

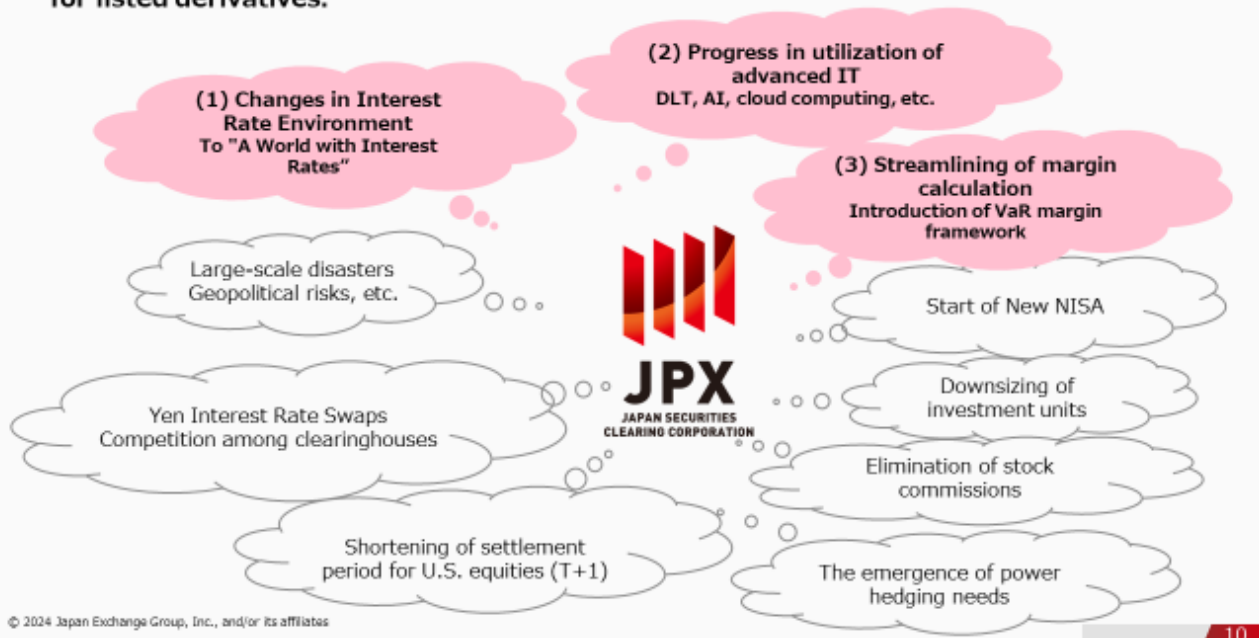
The fourth area is the OTC Japanese government bond market. While final settlements are conducted through the Bank of Japan, approximately 70% to 80% of the transfer amounts are cleared by JSCC.

Conversely, we are still trying to understand the remaining transactions and how non-residents hold Japanese government bonds. This is an area we will continue to monitor from a marketing perspective.

On the regulatory front, international regulations are becoming increasingly detailed and specific. We handle yen interest rate swaps and other related services, which means we report to seven regulatory authorities worldwide. We continue to monitor the latest trends in international regulations and aim to adhere to global FMI principles. We are committed to keeping up with the latest developments in international regulations to ensure compliance with these global standards.

Business Environment

- The business environment surrounding JSCC is ceaselessly changing, including JPY interest rate trend and progress in the use of distributed ledger technology (DLT).
- Today's presentation focuses on three topics: (1) changes in JPY interest rate environment, (2) progress in the use of advanced IT, and (3) the introduction of VaR margin framework for listed derivatives.



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Regarding our business environment, there are several points to note that have been mentioned throughout the discussion. One significant factor is the changing interest rate environment.

Next, on the right side, in the middle, is the utilization of advanced IT technologies, which is an area we are actively exploring. Following up on the questions directed to President Miyahara, we are working on leveraging DLT, or distributed ledger technology, to enhance our clearing and settlement processes. For instance, in the settlement of rubber futures, we are digitizing the documentation using DLT.

Traditionally, delivery orders were physically exchanged, stamped by warehouse operators, and sent back and forth. We are currently trialing a system to fully digitalize this process.

Furthermore, we plan to apply similar technology to precious metals settlement. We are working to digitize warehouse receipts, which are currently considered securities under commercial law. We are seeking legal adjustments to facilitate this, and once these are in place, we aim to set an example in the digitalization of securities.

Looking ahead, although we cannot make definitive statements, there is ongoing discussion about central bank digital currencies and the digitalization of various securities. Our long-term vision includes utilizing these technologies for settlement, collateral management, and other related areas.

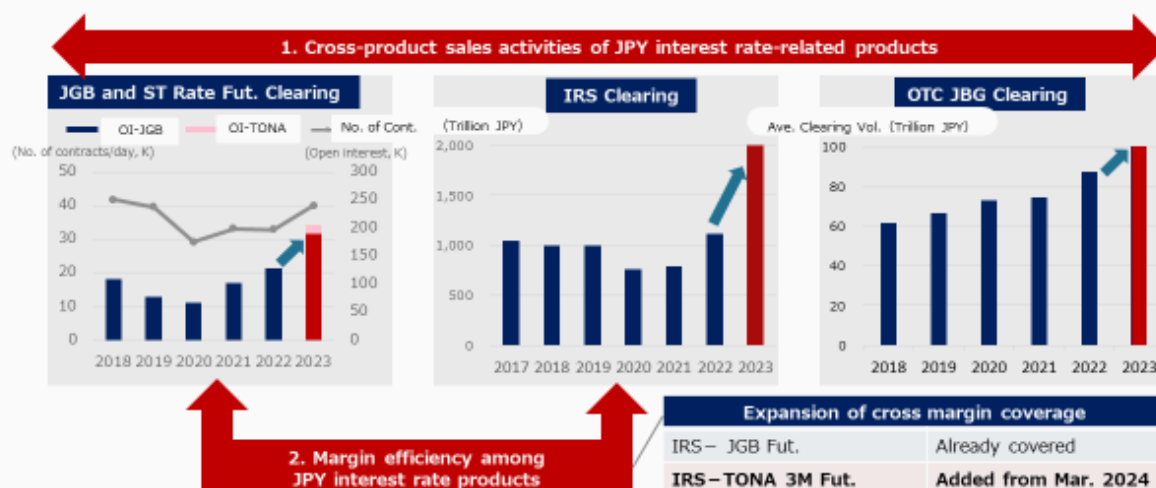
Although this research is still in its early stages, we are collaborating with international settlement institutions and engaging in pilot projects to explore these possibilities.

Thirdly, concerning the rationalization of margin calculation, we recently transitioned from the SPAN system to the more advanced and globally recognized VaR system last year. We will continue to ensure that we maintain these advanced practices.

Changes in Interest Rate Environment

- Further Expansion of Clearing of JPY Interest Rate-related Products

- Increased expectations of monetary policy revisions have attracted domestic and international attention, leading to **active trading and clearing of JPY interest rate-related products**
- Leveraging our strength as a one-stop provider of clearing services for JPY interest rate-related products, we will promote the following measures to revitalize the market
 - Cross-product sales activities** of JPY interest rate-related products **in cooperation with OSE**
 - Maximize margin efficiency** among JPY interest rate products (**expand the scope of cross margin coverage to include 3-month TONA futures**)



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Finally, let me elaborate a bit on page 11.

President Yokoyama mentioned the futures for government bonds and short-term interest rate futures. These are key yen interest rate products within our group. At JSCC, we also handle yen interest rate swaps and OTC transactions of government bonds, both of which have seen significant volume growth in recent years, as shown in the graph.

With increasing attention from domestic and international investors, our group aims to maximize the synergy between these three areas of yen interest rate products. We strive to make them as user-friendly as possible for market participants.

That concludes my explanation. Thank you.

Question & Answer

Takahashi : We will now begin the Q&A session. Please feel free to ask your questions.

Watanabe: This is Watanabe from Daiwa Securities. Thank you for the explanation. I have one main question, broken down into three smaller parts, regarding the potential returns from the management of deposited collateral.

First, regarding the timeline. We understand from previous discussions that negotiations with trading participants are necessary. How long do you expect it to take to begin managing and monetizing the collateral? Are we looking at a timeframe of a few months, or could it take up to a year?

Second, regarding the scale. On page seven, you disclosed the amount of collateral as JPY9 trillion. How much of this amount could potentially be managed?

Third, what reference interest rates will be applied, and what level of returns can be expected from this? Could you please provide details on these three points?

Konuma : Thank you.

First, regarding the timeline, given our experience with interest rate swaps, we do have a system in place for managing collateral. For other areas, the system is not fully organized yet and it is in a state where coordination with participants is necessary.

The key issue is that, even if we generate returns from managing the collateral, we need to determine how to distribute these returns. Part of the returns would go to the JPX Group or JPX shareholders, while a portion would be returned to the participants who originally provided the collateral, as we are managing it on their behalf. This requires detailed discussions and we understand that various frameworks exist internationally.

As for the investment targets, these can range from very low-risk options to more challenging investment styles. We aim to organize these details as soon as possible. This is a significant task for JSCC, and while I cannot provide a specific timeline right now, we intend to organize and prepare for asset management within a relatively short period.

Regarding how much revenue can be generated from managing the collateral, this depends on future interest rate trends and market conditions. Even if we start generating revenue, it may take a few years to see significant returns. However, it is still uncertain at this point.

Regarding the scale, we currently have JPY9 trillion in collateral, as shown on the balance sheet as of March 31, 2024. With interest rates starting to rise, the behavior of participants might change—they may decide to provide cash as collateral or use substitute securities. It will take some time to see how much cash collateral remains stable.

Additionally, it's important to note that the primary purpose of the collateral is to provide liquidity in case of fails or defaults, allowing JSCC to step in, manage the situation, and ensure that the market remains stable.

Therefore, not all of the deposited collateral can be used for revenue generation. I apologize for not being able to provide a precise figure, but the amount we can utilize is considerably smaller compared to the total amount.

Additionally, we would have to manage the collateral primarily through short-term, low-risk instruments.

Regarding the third question about interest rates, the returns would likely be closely aligned with short-term interest rates. At this point, that's about as much detail as I can provide.

Watanabe: From an external perspective, considering the JPY9 trillion and a scenario where the policy interest rate rises to 10 basis points, one might expect a revenue contribution of around JPY40 billion to JPY50 billion. However, regarding the liquidity buffer and whether the returns would be split with the trading participants, how would that work?

Konuma : Yes, we would need to create a scheme to return a portion of the returns or split them with the trading participants.

Watanabe : Even so, you can expect a certain level of revenue contribution?

Konuma : Yes, I believe there will be some contribution.

Watanabe : Thank you very much.

Takahashi : Are there any other questions?

Niwa : This is Niwa from Citigroup. I have two questions.

First, are there any anticipated changes in global capital regulations that could pose concerns in the future? I understand that the capital base is currently sufficient, and of course, as open interest increases, the corresponding capital burden will be necessary. While it seems adequate, could you provide any insights on this matter?

Konuma : Thank you.

Thanks to our efforts, JSCC's loss-absorbing resources have significantly improved, and we are now in a position to provide a reasonable level of explanation regarding our capital sufficiency. Globally, we benchmark ourselves against other clearing houses by comparing various metrics, such as the capital amounts of major players, or using the average clearing fund contributions of typical participants as a reference. We believe we have come quite close to these standards.

As a result, we are now in a position to discuss what we can do in terms of user and shareholder returns. This is a positive development, and we are aware that the need for further capital might arise as we continue to grow. Additionally, if discussions on more active collateral management intensify, we will need to consider the associated risks. Internationally, there is a debate about whether clearing houses should hold additional resources to cover these risks.

In summary, we believe we are in a good position now, but we remain vigilant and prepared to increase our capital base further if necessary, keeping a close watch on overall trends.

Niwa : My second question aligns with what Mr. Watanabe asked, as it seems there might be some hidden assets. The main concern is whether your company, being part of a listed exchange group, can achieve or exceed the Group's ROE.

Currently, the published financial statements suggest an ROE of around 8%, while LCH, for instance, has around 30%. Given this, I would like to see quicker revenue growth. Should we not expect this, or should we aim for an ROE of around 30% for your business format? Could you comment on this?

Konuma: We are indeed mindful of ROE and aim to achieve a revenue structure comparable to other international clearing houses. As I mentioned earlier, not only through exchange transactions but also by diversifying and supporting initiatives such as OTC transactions, we are committed to strengthening our revenue base.

Additionally, in the coming era, the competitiveness of the entire industry will increasingly depend on how well the middle and back offices are developed, made efficient, and capable of advanced responses. For clearing houses, this is not just someone else's problem; in fields where we face international competition, a decline in such services can lead to a significant disadvantage in the competition.

Therefore, we aim to stay ahead in this regard, ensuring that we can charge stable and appropriate fees comparable to those overseas. We are committed to building a foundation that allows us to achieve this level of service and competitiveness.

Niwa: Just to confirm, regarding clearing fees, you will be charging what is appropriate, and in an era of rising interest rates, you will also be aiming to earn interest income at a level comparable to global standards. Is that the direction you're heading?

Konuma: Yes, exactly. Interest income is a significant topic of discussion right now. We intend to establish an appropriate operational structure to manage these funds and believe it is essential to secure adequate income for sustainability.

However, it's also important to recognize that we are managing funds on behalf of the trading participants. So, it's not just about assuming that all the income from managing these funds belongs to the infrastructure provider. There needs to be an agreement with the participants, balancing their interests and maintaining our operational structure. This balance is crucial for ensuring a sustainable approach.

Takahashi: This concludes the Q&A session on clearing services. Thank you very much.

Finally, we will move on to the general Q&A session. If there are any points that were not clarified during the individual Q&A sessions, please feel free to ask now.

It seems we have received all the questions. Therefore, we will conclude the Q&A session.

With that, we conclude the JPX Investor Day 2024. Thank you very much for your participation today.

[END]
